

SOHO PROPERTY HOLDINGS



Prospectus for a Retail Property Fund

MAY 2026

INTRODUCTION

The investment strategy is to focus primarily on retail developments. Generally, retail transactions will focus on projects with a targeted gross lettable area ("gla") of at least 10,000m². This does not mean that it will be 10,000m² from inception but the land and rights must be able to expand the initial acquisition and/or development to the larger size. The Rand value of the project will be a function of where and when the acquisition is made but the intention would be to focus on retail investment, where the Fund's equity contribution will be in the range of R50– R100 million.

The lower end of the scale would relate to investments with a lower level of gla but with the potential to expand it within the medium term. The upper end of the investment scale would result in a single property investment exposure of up to R170 million (with gearing). However, where larger value projects are identified, the intention would be to joint venture ("JV") with another party or parties so as not to overly concentrate the fund to one particular investment. These larger retail properties could range up to 30,000m².

Based on the above, the property team expects to have between 10 and 14 investments in the fund.

The investment period for the retail properties would be between 3 and 6 years, on average, however, an earlier exit may be considered should the investment cycle and expansion opportunities peak before this. One would also need to be cognisant of potential competition and risks which may necessitate an earlier exit.

In essence, the focus is to have a developmental approach which will have a much greater multiplier effect than just buying into completed properties. These are often termed development stage projects and require a construction phase prior to operation. A development project therefore involves an added element of risk for the investor (compared to a secondary asset) and this will be reflected in a higher level of required return. The higher risk partly reflects the uncertainties involved with construction such as time lags and cost over-runs.

However, existing properties will not be excluded from consideration as long as it provides an opportunity to have significant financial uplift through active asset management. In this regard, the fund manager will target properties that can be repositioned through physical improvements, aggressive leasing programmes, and improved asset and building management. The repositioning strategy is appropriate because the property investment team is experienced in managing and executing business plans to address specific needs of each project and leveraging its ties with local real estate professionals to select and manage project teams and investments. Active management will require superior buying, repositioning, leasing and operating expertise, which the property team has experience in conducting with over 50 years collective experience.

A certain amount of investment mandate leniency should also be factored in to allow for introducing mixed-use elements that would complement a property investment. These may include residential housing and student housing, medical and hospital facilities, local government and community service facilities, etc.

Introducing a mixed-use facility not only ensures that any given property is put to its highest and best use, but more importantly it creates a focal point within the community. The intention would be for the investments to also act as catalysts for further investment by other third parties.

Other relevant characteristics include commitment by the fund manager to use empowered professionals and consultants. Empowerment and transformation are critical aspects of sustainability and the group is committed to the spirit of BBBEE.

1. BRIEF OVERVIEW OF SOHO PROPERTY HOLDINGS

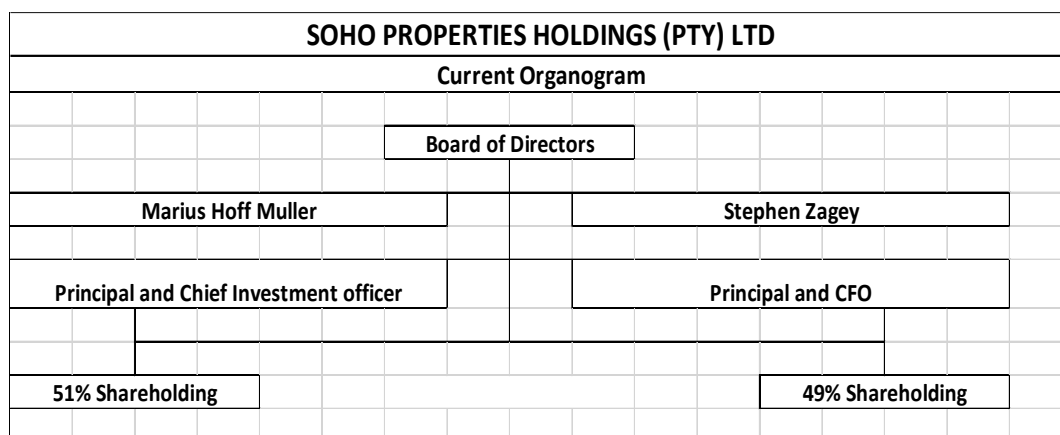
a. Current Ownership

SOHO Property Holdings (Pty) Ltd ("SOHO") was founded in 2020 by Marius Muller and Stephen Zagey.

SoHo is a boutique property services and real estate company with expertise in the retail, office, industrial, healthcare, hospitality and residential sectors. We cover all facets of the real-estate industry but primarily in the retail convenience and residential sectors across South Africa.

We offer a unique level of services to both tenants and landlords. We cover a significant number of areas of property expertise which means that we possess a greater understanding of the various components of the real estate value chain and life cycle with over 50 years experience.

The following diagram shows the current structure at SOHO:



The percentage ownership and participation of the property fund manager responsible for the management of the property strategy is as follows:

Name	Percentage
Mr Marius Muller (Coloured Male)	51,0%
Mr Stephen Zagey (White Male)	49,0%
Total	100%

b. Management

The SOHO property business at SOHO was founded by Mr Marius Muller and Stephen Zagey in July 2020. The idea to start a property fund manager, focused on the South African market, originated from the founders own experiences, working and doing business in South Africa. The team was formed over a 9-month period, and the property strategy was jointly developed by the partners, taking its point of departure in the original reason the fund was first thought of.

2. INVESTMENT STRATEGY

a. Add/project development of investments and exit theses.

The team is equipped in all aspects of the property life cycle which includes identifying opportunities, concept development, development management, property and facilities management, as well as ongoing asset management. Involvement in projects of a retail nature has spanned smaller centres in rural areas throughout South Africa, as well as the larger shopping malls throughout the established metropolitan malls. A well-established and collaborative network thus exists amongst the retail tenants as well as an extensive knowledge of peers and competitors, who both would be potential joint venture partners going forward.

As mentioned above, existing properties will not be excluded from consideration as long as it provides an opportunity to have significant financial uplift through active asset management. In this regard, the fund manager will target properties that can be repositioned through physical improvements, aggressive leasing programmes, and improved asset and building management. The repositioning strategy is appropriate because the property investment team is experienced in managing and executing business plans to address specific needs of each project and leveraging its ties with local real estate professionals to select and manage project teams and investments. Active management will require superior buying, repositioning, leasing and operating expertise, which the property team has experience in conducting with over 50 years collective experience.

Depending on the state of the property market at the time, the property fund manager will endeavor to structure investments in such a way as to maintain flexibility and maximise the number of potential exit strategies available to the Fund. The property fund manager will consult with third party specialists, such as tax and legal advisors, to analyse and implement the optimal structure of each individual investment.

The reasons for exiting a property investment would include:

- Identifying when the investment performance of a property has or is close to peaking
- Where competitor investments or potentially new products are likely to cause harm to an existing investment
- Listed REITs are a very good option for exiting an investment as they generally trade at a premium to direct property due to their liquidity and lower finance structures
- An IPO is also a viable option, especially if one is able to aggregate one's own portfolio with similar portfolios
- The opportunity also exists to reverse list into and even consolidate some of the smaller REITs in order to orchestrate an exit
- To other institutions who do not have the resources or skill sets to assemble their own portfolios.

b. Envisaged number of deals, the types of deals, returns (worst, average and best) and how will the returns be achieved.

It is difficult to disclose specific opportunities, as these tend to come and go as INVESTORS and developers with access to capital are able to secure these developments ahead of those without access to capital.

Please note that the above table above includes information about the fund manager's pipeline. There can be no assurance that any investments in the fund manager's pipeline will in fact be consummated, or that investments by the Fund will share any characteristics with investments currently in the pipeline.

What can, however, be stated with a fair amount of certainty, especially as has been demonstrated through the team's track record, is that an amount of R500 million to R1 billion of capital would reasonably easily be deployed within a 3-year period. Obviously, where developments are concerned, the actual cash flow may be slightly beyond the 3-year period, but the cash flow commitment would certainly be secured.

As mentioned previously, the focus would be on retail developments with a possible introduction of mixed-use components. The return profile for these developments are generally gauged at a level where the market value of a completed development would be 10 - 20% above the development cost. In other words, one would seek to realise development profit of between 10 - 20% on the total development costs. Initial yields would range between 10 -12%, depending on factors such as macro-economic conditions, affordability levels of tenants with respect to rentals and a significant contributor would be the input cost of the land. On a total return basis, one would look to be bench-marked against

an industry standard such as the MSCI IPD or FTSE/JSE Listed Property indices.

The fund manager believes that a gross internal rate of return ("IRR") in the order of the South African 10 Year Government Bond Total Return Index plus 5% per annum can be achieved over a 10-year investment horizon. However, this expected return can be modified to provide a higher return (by taking on more risk) or a lower return (by taking on less risk), which we can explore in further detail.

The fund manager believes that the pipeline shown in the table above will meet the blended expected return of the South African 10 Year Government Bond Total Return Index plus 5% per annum over the Fund's investment horizon.

On the matter of realizing and achieving returns, this is very dependent on the experience and expertise of the team involved with the day to day hands-on asset management of the portfolio and the investments. It is of particular importance to have asset managers who have previously proven their abilities in the sector and also have an understanding of the communities within which these property investments are located.

c. Exit of the fund

The exit is one of the first considerations the property fund manager has at the earliest stage of appraising a possible investment. No investment will be made unless there is a definite, credible, exit strategy. During the due diligence phase, the team agrees on what the most likely exit strategy(ies) and holding periods for the property investment would be. At the appropriate time in the life of the investment, a submission to sell will be made by the property fund manager to the Investment Committee for approval.

d. Proposed investment strategy is similar to the prior investment and/or professional activities of the Investment Professionals.

The fund's investment strategy is consistent with the property investment team's collective experience of over 50 years in managing properties and property related investments. The fund presents a continuation of the investment team's investment approach and track record of identifying, developing and actively managing property investments. The investment professionals' skill sets are also complimented by the wider SOHO platform that provides essential infrastructure, compliance and legislative services as well as an additional layer of governance to the fund.

e. Focus of the Fund

The Fund's focus is on the real estate and property sector within the geographical boundaries of South Africa, with the added advantage of experience across the various income groups in both the urban and rural areas. Moreover, specific skills are offered in the areas of retail and development and investment, as well as the subsequent asset management thereof.

f. Sectors or types of transactions/situations the fund would not invest in?

The investment opportunities that would not be invested in is anything that is not complimentary to or takes away from enhancing the economic and developmental outcomes that would be sort to be achieved around retail properties. Additionally, one would steer away from investments which may be complimentary but do not adhere to the ESG and developmental principles that the Fund would subscribe to. Similarly, the property fund manager would avoid investments where the holding period would exceed the fund term and/or where the level of final demand for the property remains unproven.

The Fund will also not invest in the following:

- Listed property shares or REITs
- Properties with significant reputational risk issues associated with the joint venture partner or other shareholders
- Properties identified to have significant environmental or social issues
- Deals with identified instances of corruption or bad governance
- Identifying instances of poor "financial hygiene" i.e. very poor accounting and financial procedures and internal controls
- Due diligence revealing significant discrepancies with what was initially presented
- Material adverse changes to the company or its operating environment including significant underperformance in the year of transaction
- Discovering or learning during the due diligence stage, facts or factors which adversely affect our initial investment hypothesis
- Seeming inability to work with joint venture partners or parties to effect change
- Any other funds or collective investment vehicles
- Not having sufficient visibility to achieve strong returns
- Investment properties based outside of the Republic of South Africa.

g. Preference for being a control, minority, joint or sole investor. Controls and rights when executing investments,

The property fund manager will pursue both control and significant minority transactions.

The preference would always be to have outright or sole control of an investment. However, there will be circumstances where this is not possible. For example, if the project is too large for the Fund and then requires the involvement of other INVESTORS. Another instance is where the Fund is comfortable with the level of expertise and experience of an investment partner and the shareholder agreement has sufficient minority protection provisions built in. Another scenario may be that multiple opportunities may arise at the same time and that it would be prudent to engage investment partners in order to limit execution risk.

Where one is faced with a significant minority position including effective

minority protection rights, then the property fund manager must give thought to incorporating these into its shareholder agreement. The property fund manager will seek to protect its interests in a number of ways, including for example, through contractual protections (such as approval and veto rights, particularly in the context of major investment decisions), creating true alignment of interests with key stakeholders (for instance through performance-based incentive plans), and through positions of influence on boards and key sub-committees. In addition, the property fund manager may invest through tranching investments based on milestones set for the joint venture partner. As a significant minority investor, the property fund manager will ensure that the shareholders agreements protect the fund's interests by giving the property fund manager "effective control" in partnership with other parties.

The property fund manager will avoid non-control positions at all cost.

h. Most compelling competitive advantages compared with other players in the market.

The property fund manager has a highly motivated team with in-depth understanding of property related investment fundamentals and local market knowledge. This means that the property fund manager expects to be aware of and is monitoring potential deals well before they come to market.

The fact that investment professionals have conducted deals throughout South Africa, the team has the distinct advantage of being able to successfully source and originate its own opportunities. Sole reliance is not placed on third parties and where they may think opportunities are. The fact that the team has extensive knowledge throughout the various regions and provinces of the country will also introduce geographical and economic risk diversification into the Fund. This background is invaluable in assisting in our strategy for negotiating and closing a deal, and for avoiding deals that may be problematic.

The property team's specialisation in development and repositioning of property assets means that it looks at potential deals in a different way than most local INVESTORS who have a more passive buy-and-hold approach, and to redevelopers, who only see the "knockdown" re-development potential. This gives the property fund manager an advantage when bidding for certain assets that fit the fund's investment criteria.

An additional advantage is certainty and speed of execution, based on the commercial judgement and over 50 years' experience of our investment professionals.

Compliance and track-record in terms of running similar mandates and that of a proven history of legislative and best practice adherence, should certainly not be ignored. Some of the most compelling competitive advantages includes the collective number of years in the industry and in the specific sectors.

The entire Team is committed to the principles of empowerment and will commit itself to using empowered professionals and consultants with a minimum of 51 % Black ownership for all aspects of its work. The Team has experience with and

understands the imperative of promoting new Black entrants into the property sector but also supporting existing professionals and participants.

Team members are on a daily basis, actively engaged with Black professionals and will not need to be seeking to find professionals to work with, as they have already established meaningful relationships with an extensive number of players in the market. Transformation and empowerment is thus not a compliance matter for the Team, but rather forms an intricate and significant part of its DNA.

Finally, the investment professionals have carefully nurtured their relationships amongst retailers, property professionals, banks and property INVESTORS/developers who have viable projects but do not have access to capital. This allows the property fund manager to gain good access to important information and deal flow. Also, not to be ignored, is the fact that the Key Individuals are well respected across the industry and have a high public profile as it relates to these specific property sectors.

i. Opportunities that exist to provide INVESTORS with an advantage through investment in the fund?

The investment professionals believe that the closed ended fund structures such as a Limited Life Investment Holding Company or Partnership, with a term of ten years with a distinct commitment or investment period of five years offers the fund manager the flexibility to effectively execute the fund's investment strategy. The term and flexibility to make investments affords the fund manager the ability to pace its level of investments and also allows for the orderly redemption of investment opportunities. Hence, it allows the property fund manager to manage the fund's asset-liability profile while not compromising investment returns.

It will also be appreciated that if the bias for investment is towards developments, that the lead time for actually getting a project to site can be substantial, but the reward (commercial, developmental and social), however, can be much more significant.

In addition, the Limited Life Investment Holding Company or Partnership structure offers limited liability, tax efficiency (for tax exempt or tax transparent INVESTORS), and the flexibility to make distributions.

I. Return-profile threshold (gross IRR, money multiples, etc.) for the targeted investments. Expected holding period.

The fund will seek to achieve a gross internal rate of return ("IRR") in the order of the return on the South African 10 Year Government Bond Total Return Index plus 5% per annum.

Based on the current South African 10 Year Government Bond Total Return Index plus 5% per annum, this equates to circa 14% per annum. This equates to 2 to 2.5 times in terms of money multiples (i.e. amount of money returned divided by money invested).

The net IRR (or net money multiple) will be exclusive of fund expenses, management fees, performance fees or carried interest, and other permissible fees and expenses. The IRR will be calculated using total property-level cash in-flows and out-flows over the holding period of the investment.

The property fund manager envisages a holding for each investment of between 3 and 6 years, on average.

3. INVESTMENT OPPORTUNITY

a. Property portfolio gross value

R2 billion Rand

b. Expected loan to value

50% loan to value.

c. Pipeline

Property	Type	Location	Initial Size (m2)	Timing	Initial Yield%	Property Value (Approximate)
Retail	Brownfields	Kempton Square	16,645	Immediately	10,75%	249 500 000
Retail	Brownfields	Carltonville Mall	24,989	Immediately	11,00%	170 000 000
Retail	Brownfields	Sebokeng Plaza	11,340	Immediately	12,00%	148 600 000
Retail	Brownfields	Vanderbijlpark	9,251	Immediately	12,20%	130 000 000
Retail	Brownfields	Kwa Thema Square	23,000	Immediately	12,00%	207 800 000
Retail	Brownfields	Northmead Mall	14,287	Immediately	11,75%	161 900 000
Retail	Brownfields	River Lane Shopping Centre	10,651	Immediately	12,00%	169 000 000
Retail	Brownfields	Batho Plaza	11989	Immediately	11,00%	166 500 000
Retail	Brownfields	Soshanguve BB Mall	11369	Immediately	11,50%	165 000 000
Retail	Brownfields	Bloemfontein Value Mart	13131	Immediately	11,00%	162 000 000
Total						1 730 300 000

d. Typical Tenants



Depending on Location and income of the demographic

e. **Proposed term sheet**

Fund	Closed ended fund structures such as a Limited Life Investment Holding Company or Partnership (subject to confirmation by INVESTORS)
Fund objective	The Fund will seek to generate superior investment income and capital gains by making long-term, equity and equity related, investments in unlisted property investments
Fund size	R2 billion
Deal size	R100 million to R200 million per deal
Expected return	South African 10 Year Government Bond Total Return Index plus 5% per annum
Term of Fund	The term of the Fund will be ten years (from commencement of Fund)
Investment period	Five years from [<i>from</i> commencement of Fund)
Geographic focus	South Africa only
Shareholding	100% owned by investors.
Target number of investments in the Fund	10 to 14
Maximum% of Fund to be committed to a single investment	20%
Maximum % of Fund to be committed to a single counterparty	25%
Expected holding period per investment	10 years
Expected number of years until fund is fully invested	3 to 4 years
Committed capital by the INVESTORS	The funds committed capital by the INVESTORS will be used entirely for the purchase of assets. No capital will be used to pay operational expenses such as salaries to directors.
Management fee	2% of total commitment during investment period. Thereafter, 2% of the acquisition cost of property investments less the acquisition cost of property investments realised
Hurdle rate	South African CPI plus 3% per annum
Carried interest	20% of net profits on a Fund basis

4. EXPERIENCE OF THE PROMOTERS

a. Summary experience

Marius Muller :

- Marius is currently the Managing Director and Co-Founder of SoHo Properties which is a property development and real estate investment company.
- He has been in the property industry since 1992 and was CEO of Pareto Ltd between 2010 and 2016.
- Various high-profile roles at JSE-listed companies have included being the CEO of Texton Property Fund and the MD of iFour Properties.
- Other appointments have included executive directorship roles at JSE Companies –Resilient REIT, Pangbourne Properties, Diversified Property Fund and Monyetla Properties.
- Currently serves on the Boards of Safari Investments (JSE Listed) and Oryx Properties (Namibian Listed).
- Previously served on the boards of the South African Council of Shopping Centres (President –2 terms), the South African Property Owners Association, the Green Building Council of South Africa and the South African Institute of Black Property Practitioners.

Stephen Zagey :

- Stephen is currently the Financial Director and Co-Founder of SoHo Properties which is a property development and real estate investment company.
- He has been in the property industry since 2003 and Co-founded affordable housing development company, Siyathembana. The company owns and manages 1200 residential units and other retail units in Doornfontein, Joburg CBD.
- Various high-profile roles as CEO at Brian Falconer Property Group, a property development company focussing on residential estates.
- Other appointments have included an executive directorship role at Signum Financial Products, a specialist in debt origination and structured finance, particularly in the commercial property arena
- Previously has consulted on takeovers, acquisitions and financing.
- Stephen currently serves as vice-chairman on the board of ORT SA, a multi-faceted, proactive and reputable organisation that thrives on developing teachers, youth, businesses and communities, by improving the standard of education, through empowerment and support.

b. Other pertinent experience

Marius Muller :

- Identification and origination of new property investment opportunities, especially as far as site selection is concerned.
- Providing support to third parties that have acquired sites but require additional levels of expertise across the property value chain.
- Township establishment and rezoning processes across a number of projects. This would include dealing with community negotiations and objections from competing developers and landowners.
- Negotiation, acquisition and tendering on existing developments that require valuation expertise and thorough due diligence.
- Largest single acquisition was nearly R2 billion in value and largest single development project was in excess of R2 billion.
- A total of more than R11 billion of capital projects were deployed over a period of 6.5 years.
- Deep experience in negotiating of transaction agreements, acquisition treaties, development agreements, shareholder agreements and financing agreements.
- Spear-headed the sourcing of debt finance directly with financial institutions for a number of developments and acquisitions.
- Involved with re-structuring of existing debt to the tune of nearly R10 billion. This was possibly the largest unsecured property financing deal in South Africa (i.e. no mortgage bonds were registered over the properties).
- Provided liquidity by purchasing of shareholding from various investment partners.
- Held the role of primary transaction executor both as project manager and development manager for acquisitions, renovations and extensions, as well as new developments. These activities included project conceptualization, community liaison, tenant mix strategies, actual lease negotiations, construction implementation, subsequent property management on completion and then the active asset management in order to maximise returns.
- Numerous exits from property investments has been for reasons of change in investment strategy, demand for the product from other INVESTORS, rebalancing of the investment portfolio or via an initial public offering ("IPO") in order to maximise value.
- Have been in the property sector since 1993 and also actively involved with industry bodies and associations.
- Qualified as a Quantity Surveyor as well as a Fellow of the Royal Institution of Chartered ("RICS") Surveyors. Have been in the property industry since 1993.
- Being a Fellow of RICS is quite prestigious as it acknowledges standing and accomplishments in the property industry at international real estate standards. Most members of RICS have Member ranking and are not Fellows.
- Job descriptions have included practicing as a quantity surveyor, property researcher, investment analyst, property financier, investment and leasing broker, valuer, project manager, development manager, asset manager, general manager, executive director and CEO.
- Have been involved with initial public offerings ("IPO's") in the Real Estate Investment Trust ("REIT") sector since 2002, including as a Promoter.

- One particular REIT fund focussed almost extensively on retail shopping centres in lower LSM markets in rural areas. Had responsibilities as Asset Manager and Executive Director involved directly and on an ongoing basis with these assets. This included leasing strategies and execution, extensions and refurbishment of assets, as well as exiting from investments from time to time.
- CEO of Pareto limited between 2010 and 2016.
- Grew assets under management from R10 billion to R25 billion over that period. This comprised of gross lettable area of more than 1,000,000 m2.
- Managed a staff compliment of over 350 people.
- Have served as a director with SA Institute of Black Property Practitioners and was presented with their highest award of recognition.
- Received the National Careers 24 CEO award for best HR Leadership.
- Served on the Green Building Council of SA, the SA Property Owners Association and the SA Council of Shopping Centres ("SACSC").
- Served as President and Chairman of SACSC for an unprecedented two terms.
- Have held both Executive and Non-Executive Director roles with JSE listed companies.
- Served as Managing Director of a JSE-listed company.
- Currently serving as an Independent non executive director ("NED ") of a JSE-listed REIT as well as Chairman of their Investment Committee.

Stephen Zagey :

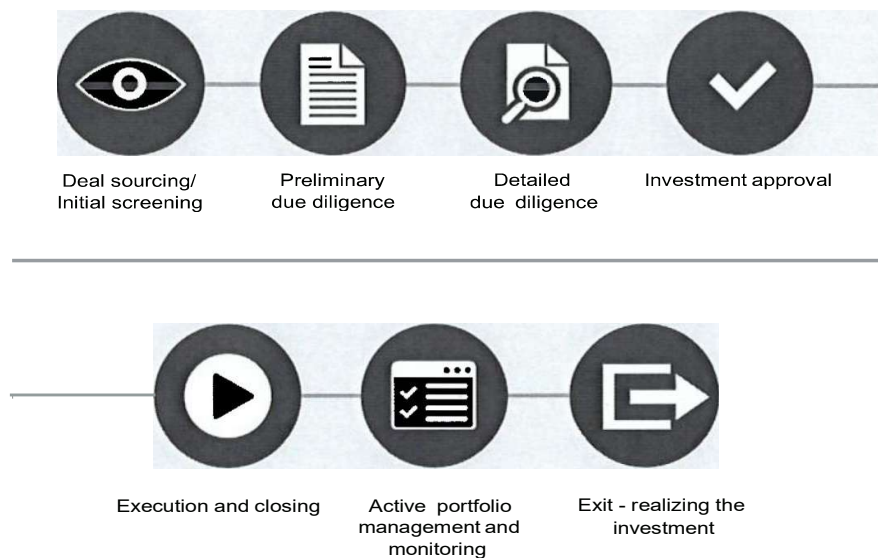
- Have been in the property sector since 2003 and been involved in both the commercial and mostly the residential sectors.
- Identification and origination of new property investment and development opportunities.
- Township establishment and rezoning processes across many of projects.
- Negotiation and acquisition of developments that require thorough due diligence.
- Costing and sourcing of large scale quantities of building materials both domestically and internationally.
- A total of more than R1,5 billion of residential projects completed over a period of 10 years.
- Comprehensive experience in negotiating of transaction agreements, acquisition agreements, development agreements, shareholder agreements and financing agreements.
- Many years of experience in property management of 1200 residential unit.
- Responsibility of sourcing of debt finance directly with financial institutions for all developments and acquisitions during tender at Brian Falconer Property Group and Siyathembana.
- Provided liquidity by obtaining investment in projects as well as sale of shareholding from various investment partners.
- Have managed staff compliments of 50-100 over the years.
- Have been involved in de-listing Lyons Financial Holding off the JSE (a commercial property holding company).

5. INVESTMENT PROCESS

a. Diagrammatical representation of the Fund's investment process.

The property fund manager follows a disciplined and structured investment process with focus on due diligence and in-depth analysis. The investment process is also designed to minimize the property fund manager and the Fund's exposure to reputational and similar risks.

The investment process has seven stages as outlined below:



b. Procedures and systems in place that ensure cost-efficient, timely and secured execution of investments.

- Self-source deals but also use broker network, joint venture partners, financial institutions, existing client base, etc to source deals.
- Use experienced construction team but as important to have well-respected leasing team.
- Ensure that all approvals and legal requirements are in place.
- Give particular attention to fulfilling tenant leasing conditions.

- Third party debt provider will act as additional level of oversight for ensuring that projects are de-risked.
- Appoint contractors and professionals on a turn-key basis in order to diversify construction and delivery risk.

c. Deal sourcing capabilities and the process used to identify attractive investment opportunities. Criteria used to assess an investment's attractiveness. Robustness and sustainability of proprietary network of contacts used to identify opportunities. Organizations that we will not invest or source deals from.

The property fund manager comprises of a team of senior investment professionals with over 50 years of relevant investment and property management experience. The property team will provide access to investment opportunities.

There will be two main sources for sourcing deals. The first will be using the team's vast experience in the identified investment classes and using this experience to self-generate and identify opportunities. The second would be through using the extensive network that has been developed over the years amongst banks, the tenant base (retailers, etc.), property professionals and also possible competitors. The investment team believes that this allows the property fund manager to gain access to investment opportunities prior to them coming to market (often well in advance). This enables the property fund manager to conduct thorough due diligence and to bid more confidently and quickly for an investment property when it comes to market. The team believes that such an approach reduces risk and minimizes transaction expenses including broken-deal costs.

All investment opportunities will be discussed during the property fund manager's weekly meetings where they will be presented by the originating team member. The team will screen and prioritise the investment opportunity and will determine if it meets the Fund's investment strategy and the diversification benefit that it brings to the overall Fund. If it does not, the investment opportunity would be rejected. If it does, the investment opportunity would enter into the property fund manager's pipeline and approval will be sought to commence with an initial screening as well as the allocation of team resources that will result in the establishment of a deal team.

The deal team will include at least two members of the team, will commence with "desktop" assessment of the investment opportunity and will present their findings to the Investment Committee to commence with preliminary due diligence.

A data base or pipeline of deals assessed will be maintained in order to ensure that historical records are maintained but also to use this data base as a reference documents of potential sources of deals that can be revisited in future.

The attractiveness and appropriateness of a deal will be judged against the investment criteria that will have been agreed to upfront in the investment or partnership agreement with the INVESTORS. However, this certainly not a tick box exercise. The benefit of years of specific experience is that one can see the potential in a deal and also how it can be tweaked in order to create an opportunity which on the initial assessment may have been deemed inappropriate. Similarly, the same set of skills and processes will be used if a transaction were to be rejected. It is as just important to be quick and decisive in giving an affirmative answer as it is in rejecting a project.

-As mentioned above, the network we have access to is extensive, but it must be realized that the network is not exclusive to ourselves, nor will it be exclusive to any of our competitors. However, the level of personal relationships as well as one's track-record will distinguish our core team from competitors and ensure that we are able to source transactions ahead of our peers.

The Fund will also not invest in or alongside the following:

- Listed property shares or REITs
- Properties with significant reputational risk issues associated with the joint venture partner or other shareholders
- Properties identified to have significant environmental or social issues with the target
- Deals with identified instances of corruption or bad governance
- Identifying instances of poor "financial hygiene" i.e. very poor accounting and financial procedures and internal controls
- Due diligence revealing significant discrepancies with what was initially presented
- Material adverse changes to the company or its operating environment including significant underperformance in the year of transaction
- Discovering or learning during the due diligence stage facts or factors which adversely affect our initial investment hypothesis
- Seeming inability to work with joint venture partners or parties to effect change
- Any other funds or collective investment vehicles
- Not having sufficient visibility to achieve strong returns
- Investment properties based outside of the Republic of South Africa.

d. Screening and due diligence processes.

Following on from the deal sourcing capabilities described in 4c above, the next stage(s) of the investment process is as follows:

Preliminary due diligence

The deal team will proceed with the preliminary analysis of the investment opportunity, based on publicly available data and data supplied on the property investment opportunity. This approach ensures that due diligence costs are controlled until the investment opportunity has been thoroughly assessed. This stage marks the beginning of the due diligence process, which focuses on the evaluation of the attractiveness of the investment property, including initial financials, the partner and/or management team, market, competitive environment assessment and expected return prospects. The deal team will produce a preliminary due diligence paper, which is then distributed to all team members and discussed at the next weekly meeting. The property fund manager believes that the involvement of the broader team early in the investment process is beneficial, particularly in identifying issues to the potential investment opportunity by leveraging the broader teams experience and networks. Following the satisfaction of the broader team, the investment opportunity is then presented to the Investment Committee for approval to commence with a detailed due diligence exercise. The Investment Committee will approve a budget to incur additional due diligence expenses.

Detailed due diligence

The information gathered during the preliminary due diligence stage serves as a basis for a series of detailed due diligence exercises that will aim to understand, amongst others, the investment opportunity's financial performance, operating structure, tax and legal implications, partner and/or management team's capabilities, geography and market dynamics, client and supplier relationships, environment and social implications, macro-economic and sector-specific trends, potential value-add opportunities and exit opportunities. The property fund manager may also engage third parties to perform due diligence on the investment opportunity and include, amongst others, accounting firms to conduct financial and tax due diligence, legal firms to conduct legal due diligence, environment and social experts to understand the environmental and social impact, sector specialists, and reputable companies to conduct background checks on the partner and/or management teams. The findings of the detailed due diligence, which will include a bid document outlining the terms and conditions under which the property fund manager would be prepared to make the proposed investment, is then presented to the Investment Committee.

Investment approval

The Investment Committee will then either recommend the investment opportunity for approval for the Fund, direct a further series of detailed due diligence exercises or reject the investment opportunity if deemed too risky, it no longer fits the Fund's investment strategy or if another investment opportunity appears more attractive for the Fund.

It should be noted that the Investment Committee will meet regularly throughout the investment process to review an investment opportunity, due diligence findings, and any other matters relevant to the investment decision and the construction of the overall Fund.

Execution and closing

Following Investment Committee recommendation and approval of an investment opportunity, the deal team will ensure that any bid document will include all recommendations of the Investment Committee. Any material changes to market conditions or performance of an investment opportunity will require deal documents to be amended and presented to the Investment Committee for final approval before the deal is consummated.

Active portfolio management and monitoring

After an investment by the Fund has been completed, the property fund manager will take an active role in monitoring the investment property's performance by reviewing detailed monthly data and key performance indicators. This active involvement will allow the property fund manager to deploy resources that will enable an investment property to capitalize on growth opportunities through asset management, or to respond to and resolve issues before they adversely affect the investment property's performance.

e. Functions performed by third parties in the sourcing, screening and due diligence processes. Decision-making process for determining if a third party is used/not used.

The property fund manager conducts thorough financial, background, and environmental and social due diligence. In all instances the primary due diligence, especially the commercial due diligence, is done by the property team and only engages third parties to perform due diligence on the property investment opportunity and partner and/or management. These include an investigative company to conduct background and reputational due diligence, an accounting firm to conduct accounting and tax due diligence, lawyers to conduct legal due diligence and environmental and social experts to conduct an environment and social assessment where the property investment opportunity may have significant adverse environmental and social impacts.

It should be noted that the Investment Committee will meet regularly throughout the investment process to review an investment opportunity, due diligence findings, and any other matters relevant to the investment decision and the construction of the overall Fund. As part of this engagement process, the Investment Committee will also review and approve any third-party appointments and costs. This approach ensures that due diligence costs are controlled until the investment opportunity has been thoroughly assessed

f. Detail your use of investment research in investment decision making.

The property fund manager has its own in-house database of research materials. This comprises of research, data, news and opinion from various sources, including government, the research departments of the property agencies, investment banks and other consultants. All relevant reports and data are methodically archived and readily accessible by all staff. The research library is arranged in the following categories:

- (i) Real Estate Sector - general, office, retail etc.
- (ii) Geographic - by province or city
- (iii) Environment - macro-economics, finance, legal, real estate etc.
- (iv) Network- key organisations, activities, projects, individuals, etc.

The property fund manager also keeps electronic records of various properties, including details of previous transactions, tenancies and floor plans. The property team with this vast and valuable resource can assess new investment opportunities efficiently and make comparisons of property investments in the current market versus previous markets. The property fund manager does not have a dedicated person providing research output, given our predominantly bottom-up process and as we also believe that the property team should draw on multiple sources of information and analysis to keep abreast of macro and micro issues.

g. Examples of provisions that are incorporated in contracts to protect your investments.

Typical protection provisions would include:

- Step-in clauses that would allow us to take control of running the project implementation where we see that the partner is not performing or coping with execution
- Dilution clauses on ownership if a partner is not able to follow their rights in an enhancement to the investment
- Veto rights for decisions of a material nature
- Clearly described Delegations of Authority that is regularly audited for compliance and operational improvement
- Appointing persons to key positions involved with the running of the investment.

h. Approach to the valuation of investment opportunities and pricing discipline.

The property fund manager places a high degree of emphasis on maintaining pricing discipline as it evaluates property investment opportunities. Given the growth in activity and players in the South African property market in which the fund manager operates, the visibility of future growth is of primary importance. As such, the property fund manager focuses on identifying properties exhibiting characteristics of robust growth and income potential.

The property fund manager's ability to secure investments on attractive terms is also enhanced by its strong value-add proposition to potential property investments. To this end, the team frequently presents its post-investment value-creation plans that have been developed as part of the investment process to partners and/or management to cement the property fund manager's status as a "partner of choice".

As a result, the team members have a long history on being chosen by partners and/or management based on their merits as a strategic partner, thereby avoiding the need to compete solely on price.

The property fund manager will always adhere to its disciplined pricing approach and will walk away from property investment opportunities that do not represent an attractive risk/reward trade-off.

i. Details on internal decision-making and approval process, including details on the role, composition and function of the Investment Committee.

The property fund manager's decision-making process takes a consensus team approach where all members of the team provide input and approval into every investment and divestment recommendation. Prior to an investment being approved by the Investment Committee, each member of the team will have an opportunity to express her/his opinion on the property investment opportunity. Each opportunity will be discussed among the team from the deal sourcing/initial screening stage through to the investment approval stage during regular weekly meetings. This ensures consistency and quality across all property investment opportunities and also consensus among the property investment team members

The property fund manager's team meets formally at least once a week, in addition to ad-hoc meetings, as follows:

Weekly team meetings:

The property team will have a regular weekly meeting, during which they discuss current and expected investment opportunities and review existing property investments. These weekly team meetings are held in person at the property fund manager's office in Illovo, Johannesburg.

Portfolio management committee meetings:

The property fund manager also holds monthly Portfolio Management Committee meetings, during which existing investments are reviewed in further detail. Furthermore, in some instances, expert advisors are commissioned to prepare specific analysis for consideration by the team. Each Portfolio Management Committee meeting involves a structured review of the investments under consideration, including investment property presentations made by a joint venture partner and/or management or by the investment team member responsible for the investment.

Formally, a proposed investment must be reviewed and approved by the Investment Committee whose role is to approve all property investment and divestment decisions, and also provide input and raise concerns at various stages of the investment process.

The Fund will establish an Investment Committee that will approve all investments and divestments. The establishment of the Investment Committee is to ensure the strongest level of the governance that serves to protect the interests of the INVESTORS.

The property fund manager envisages that the Investment Committee will comprise of five members, three of whom shall be independent members based on pre-determined areas of expertise to provide balanced views and feedback on prospective investments or proposed by the INVESTORS.

The composition of remainder of the Investment Committee will comprise of investment professionals from the property fund manager, namely Mr Marius Muller and Mr Stephen Zagey. The Investment Committee will be chaired by an independent member.

The Investment Committee provides approval for all property investment and divestment decisions by unanimous consent. The Investment Committee will meet in person at the property fund manager's offices in Illovo, Johannesburg or via video conference. The property fund manager will draft detailed terms of reference, for approval by the INVESTORS, which will govern the operation of the Fund's Investment Committee.

Exit - realizing the investment

The property fund manager expects to hold investments for three to six years but may seek an earlier exit if opportunities for value creation are limited, if it receives a price that meets its targeted returns or if it determines that there are unfavorable market conditions or other risks that make an earlier exit desirable.

The property fund manager will aim to identify exit opportunities at the time of the initial investment and will actively evaluate exit strategies throughout the life of the property investment. When the property fund manager recommends the exit, whether partial or whole, of a property investment, a "Divestment Paper" is prepared and distributed to the Investment Committee for approval. The Divestment Paper will explain the context and motivation for seeking an exit, including the proposed exit return to the base case return expectation.

j. Criteria for evaluating follow-on investments. Include a description of the Fund's provisions for capital recycling and follow-on reserves.

Due to the nature of the Fund's investment strategy, the Fund may make follow-on investments for certain property investments, especially those that grow significantly or could grow significantly due to new opportunities since the initial investment. When deciding whether to make a follow-on investment, the property fund manager will adopt the same cautious and conservative approach as for any initial investment, with a better understanding of and first-hand experience about the original investment obtained as part of the ongoing monitoring by the fund manager.

In addition, the property fund manager will often tranche its investments into property opportunities based on milestones being met by the partners and/or management.

The Fund's ability to make follow-on investments is subject to the diversification limits and other restrictions in the Fund's investment or partnership agreement.

Finally, follow-on investments will always be presented to the Investment Committee of the Fund for approval.

k. Strategy/criteria/plan for exiting investments

The exit strategy is one of the first considerations the property fund manager has at the earliest stage of appraising a possible investment. No investment will be made unless there is a definite, credible, exit strategy. During the due diligence phase, the team agrees on what the most likely exit strategy(ies) and holding periods for the property investment would be. At the appropriate time in the life of the investment, a submission to sell will be made by the property fund manager to the Investment Committee for approval. Thereafter, it is the responsibility of the property fund manager to prepare the investment property for sale, if approved by the Investment Committee.

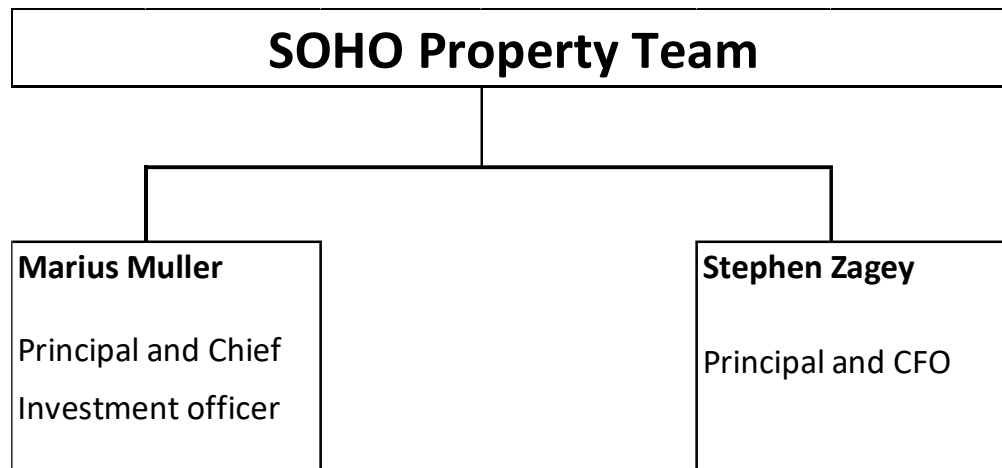
Depending on the state of the property market at the time, the property fund manager will endeavor to structure investments in such a way as to maintain flexibility and maximise the number of potential exit strategies available to the Fund. The property fund manager will consult with third party specialists, such as tax and legal advisors, to analyse and implement the optimal structure of each individual investment.

Typical reasons for exiting a property investment would include:

- Identifying when the investment performance of a property has or is close to peaking
- Where competitor investments or potentially new products are likely to cause harm to an existing investment
- Listed REITs are a very good option for exiting an investment as they generally trade at a premium to direct property due to their liquidity and lower finance structures
- An IPO is also a viable option, especially if one is able to aggregate one's own portfolio with similar portfolios
- The opportunity also exists to reverse list into and even consolidate some of the smaller REITs in order to orchestrate an exit
- To other institutions who do not have the resources or skill sets to assemble their own portfolios.

6. **TEAM COMPOSITION**

a. **Overview of the Fund Managers investment team, including the shared work history of the Fund Managers Principals and Partners.**



The fund manager has three levels of investment professionals, namely Investment Principals, Associates and Analysts.

All senior investment professionals or Principals will be involved with deal sourcing, due-diligence of investment property opportunities, negotiation, structuring, execution of investments that meets the Fund and fund manager's investment criteria, monitoring and value creation, exiting, and overall Fund management.

Associates (mid-level) will assist with deal sourcing, due-diligence of investment property opportunities, structuring, monitoring and value creation, and exiting.

Analysts (Junior staff) will assist the senior investment professionals with analysis and validation of information, as well as giving support with any administrative duties.

At present, the property team currently consists of three senior investment professionals or Principals (Mr Marius Muller and Mr Stephen Zagey) with diverse backgrounds, each of whom bring valuable skills to the fund manager.

In addition, Mr Marius Muller will serve as Chief Investment Officer for the Fund and will assume overall responsibility of the fund manager and its business activities.

We are actively recruiting a third member of the team as a property investment analyst to capacitate the team when workflow and Fund revenue make it possible. Therefore, we expect a full team complement of investment professionals, in addition the wider SOHO platform provides essential infrastructure services and an additional layer of governance to the Fund.

In terms of the team's senior investment professionals, Mr Marius Muller and Mr Stephen Zagey (all Principals) had previously worked together for the last 5 years. This involved work relating to development, extension and refurbishment of existing property investments and investigative work relating to potential investments.

b. Internal communication

The property fund manager's team meets formally at least once a week, in addition to ad-hoc meeting, as follows:

Weekly team meetings:

The property team will have a regular weekly meeting, during which they discuss current and expected investment opportunities and review existing property investments. These weekly team meetings are held in person.

Portfolio management committee meetings:

The property fund manager also holds monthly Portfolio Management Committee meetings, during which existing investments are reviewed in further detail. Furthermore, in some instances, expert advisors are commissioned to prepare specific analysis for consideration by the team. Each Portfolio Management Committee meeting involves a structured review of the investments under consideration, including investment property presentations made by a joint venture partner and/or management or by the investment team member responsible for the investment.

A core aspect of the property fund manager's culture is open communication, transparency, debate and consensus decision-making. The property fund manager has a flat, non-hierarchical culture where all team members' opinion matters, and we strongly believe that no one has a monopoly on good ideas.

All of the investment professionals will be based in a single office location and as such will meet in person when required.

c. RECRUITMENT PROCESS

a. Recruitment plans and procedures for hiring staff

We envisage a total property team consisting of four experienced professionals. As previously mentioned, we have assembled a team of experienced individuals with over 50 years collective experience within property and investment markets, namely:

- Mr Marius Muller (Coloured Male)
- Mr Stephen Zagey (White Male)

We are actively recruiting a third member of the team as a property investment analyst to capacitate the team when workflow and Fund revenue make it possible.

All members were recruited due to their experience within property and investment markets (over 50 years collectively) and coming from different spheres of the financial industry thereby bringing in various aspects of experience to the team which can then be used to complement each other and for skills transfer.

The fund manager aims to be regarded as one of the preferred employers in the South African investment management industry by virtue of its strong ethics, investment excellence, and model whereby all team members share in the property fund manager's profits based on merit and contribution to the overall business. The fund manager has had more success on drawing on the significant pool of the team's established network of relationships amongst South African and global investment management professionals, referral/word of mouth and from industry events and associations. This talent pool has served as a strong resourcing option for the property fund manager in building its team and business.

In addition to the above, background checks, using formal channels (written and reference calls, Kroll background and security screenings) as well as the business relationships and networks of the team are utilized. The fund manager will utilize services of third-party firms such as Kroll Inc to conduct background checks which include the verification of an individual's education history and prior work history of the individual.

d. STAFF RETENTION

a. Approach to staff retention and training.

Staff retention is a very important aspect of the fund management business model as the business has only two inputs: capital and human talent. Therefore, its two most valuable assets are its INVESTORS and its employees or fund management team.

The property fund manager has a flat, non-hierarchical culture where transparency and debate are encouraged. All team member's opinion matters, and we strongly believe that no one has a monopoly on good ideas. The property fund manager firmly believes it has a special culture compared to its peers - large asset managers tend to be unnecessarily hierarchical while most boutiques are dominated by one or two "star" fund managers. This is reflected in how the property team conducts its business, how the team communicates and makes decisions in a consensual manner. This applies in terms of fund management and also the direction of the business.

The fund manager believes that by providing each team member with a meaningful share of the incentives of the fund manager provides the strongest alignment of interest and mechanism for the retention of key individuals.

We strongly believe that being a partner of the property fund manager improves the likelihood of retention through both economic incentives and a sense of true ownership. All partners will also make a contribution to the fund, in terms of any opportunity cost and risk capital, which itself leads to "skin in the game" which makes the team owners in the business, as opposed to agents or employees.

The fund manager has a well-balanced compensation and an incentive scheme, where the team earns the bulk of the fund manager's economics, plays a significant role in incentivising the team members from a retention perspective and also aligns their interests with the interests of the respective fund and its INVESTORS.

The current members of the property team bring deep experience in property and investment management, and complimentary skills to the team. A significant transfer of skills has already taken place since the team has been working together by sharing experiences and business practices. This skills transfer is expected to intensify as members of the team join the property fund manager on a full-time basis should SOHO be successful in receiving an investment mandate from INVESTORS.

As junior staff are recruited, the property fund manager will devote a significant amount of time and research to ensure that its professionals develop and up skill over time. This will be done in daily work and/or "on the job apprenticeships", internal and external training sessions, and rotation across different deals and responsibilities.

e. SUCCESSION PLANNING

a. Describe the organizations succession planning.

The property fund manager does not have a defined succession plan as yet and the individual team members are relatively young, healthy and dedicated to managing the property fund manager throughout the life of the fund. The two senior investment professionals, **Mr** Marius Muller and Mr. Stephen Zagey, are 54 and 51 years respectively. Hence the average age of all senior investment professionals is 52 years, so none of the key professionals are approaching retirement age nor do have plans to leave the property fund manager.

We are actively recruiting a third member of the team as a property investment analyst to capacitate the team when workflow and Fund revenue make it possible. We envisage that the third member of the team to be recruited will be between the ages of 30 and 40 years old.

However, the culture at the fund manager is being deliberately built around the sharing of responsibility (no one person will have the monopoly on good ideas), joint ownership, and the empowerment of individuals and we believe that this will serve as a strong incentive to help manage and grow the business. In addition, given the fact that all team members are joint owners of the fund manager, will always ensure that succession planning will remain a key aspect of the business management going forward.

The property team believes that its professionals have a stable mix of complementary skills, ages and personalities, which allow for consistent management over the life of the fund.

b. Provide development plans for Principals, Associates and Analysts.

The team responsible for the management of the Fund are all senior investment professionals who are owners in the property fund manager. All of the current team members are at Principal level.

In the event that the fund manager hires additional resources in future and depending on the level of the hire(s), there will be a well-defined career path for each individual with an opportunity to become a Principal level partner of the property fund manager. Based on the tyINVESTORSal career path, an individual could progress from being an Analyst to Associate to Principal, subject to contribution, performance, and initiatives taken within the property fund manager. At each stage of her or his career, an individual will be assessed annually on quantitative and qualitative performance parameters in relation to certain Key Performance Indicators (KPI's) which flow out of similar indicators of the property fund manager as a whole, and the Fund. The relative weighting of the KPI's would depend on an individual's stage of his career and the expected responsibilities at the property fund manager. Subject to suitable performance, an individual could potentially progress across the path mentioned above within a 3 to 6-year period.

f. ALIGNMENT OF INTEREST

- a. Will any of the Firm's Principals and/or affiliates elect to not invest in the Fund?**

No.

- b. Will any commitments from the General Partner and/or any of its Principals be leveraged or loaned?**

No.

- c. Will any commitments from the General Partner and/or any of its Principals be financed with deferred management fees?**

No.

- d. Will any commitments from the General Partner and/or any of its Principals be financed with assets from another investment managed by the Firm?**

No.

7. ENVIRONMENTAL, SOCIAL AND GOVERNANCE ("ESG")

a. Types of investments for which Environmental Impact Studies must be obtained

- All projects requiring the establishment and/or rezoning will require an Environment Impact Assessment ("EIA").
- The results of the EIA, discussions with the local community and the requirements by the Local Council will essentially dictate what needs to be done.
- The Conditions of Establishment will need to be assessed financially and this will determine whether the project remains viable or whether it needs to be shelved.
- Economic considerations such as creating jobs, etc are becoming less influential in determining whether approvals or concessions are granted at the expense of environmental issues.

b. ESG-related policies and how do ESG factors influence its investment beliefs?

The property fund manager fundamentally believes that the key to long-term value creation is done through the basis of sustainable investment. This can be achieved through the implementation and integration of a sound environmental, social and governance ("ESG") management processes throughout our business and in our underlying investments. SOHO recognizes the obligation and fiduciary responsibility in terms of ESG to our INVESTORS, our underlying investments as well as all other stakeholders. We do not view ESG issues as a separate part of the investment process, but rather we have a holistic view on the entire investment process which includes ESG. Furthermore, in this world of uncertainty we live in, ESG principles not only helps spot risks, but also opportunities, including meeting broader developmental goals and objective through its property investments.

The property fund manager will contribute to property investments' management of ESG-related risks and opportunities through guidance from the ESG Policy and Procedures Manual. The purpose of this document is to define the fund manager's approach to examining and managing ESG risks and value creation opportunities into investments made through the Fund.

This document also serves as a guideline for managing the integrated ESG management process from deal screening to exit. The fund manager is committed to improving its capacity and application of ESG matters and expects to regularly review and update its policies and procedures to reflect improvements in international best practice.

Our ESG process incorporates a set of screens for environmental, social and governance factors that is used to determine the ESG risk or opportunity of each investment opportunity. We then use the outcome of this exercise to engage with the partner and/or management in order to improve the ESG rating (as opposed

to using it as a negative screen). It may be possible to include additional ESG factors screens upon the request of the Investor.

c. Identify and manage material ESG-related risks

The fund manager will seek to integrate the consideration and thoughtful management of ESG issues throughout the investment cycle, particularly the deal sourcing and due diligence stages, which are detailed below:

Deal screening

At this stage, the team will also consider ESG risks and opportunities in its assessment of prospective investments (including defining the ESG factors to be assessed at due diligence and allocation of relevant resources required), which will be reviewed against the ESG Policy and Procedures Manual.

As a first step of the ESG management process, the investment team reviews potential deals against the Exclusion List to ensure resources are not deployed pursuing opportunities for the Fund. In the event that the prospective investment is included on this list, the team will not pursue the deal any further.

As a second step, the team will enter the baseline data of the prospective investment into the ESG Toolkit, which offers an indication of the overall ESG sector risk category (high, medium or low) and identifies some potential ESG risks and opportunities corresponding to the investment opportunity. The investment team will review the output of the ESG toolkit and determine whether there are any standout ESG risks and/or whether they are manageable in order to consider the deal for the next stage of the investment process.

Due diligence

A separate and further analysis is performed around the ethics, track record and the joint venture partner and/or the reputations of the management parties to the potential investment opportunity.

Based on the initial assessment of ESG risks at the Deal Screening stage, the team undertakes an initial assessment of ESG risks and opportunities of the prospective investment (initial ESG assessment) and integrates this assessment with the team's conclusions on the valuation, operations and management of the investment. The findings of the due diligence stage are to determine the appropriate intensity of any further ESG due diligence required.

To ensure the integration of ESG risks identified in the screening and due diligence stages, the team will undertake full ESG assessment to ensure that policies and operations of the investment opportunity are aligned with the property fund manager's policies. While mis-alignment with the fund manager's policies would not automatically lead to a decision not to invest, this detailed ESG assessment provides an opportunity for the team to identify specific property investment

risks and risk mitigation strategies. Full ESG assessment also provides an opportunity for the team to engage the prospective investment's partners and/or management regarding risk mitigation strategies, proposed ESG improvements and/or monitoring proposals thereby creating value all parties. This engagement process helps the team to determine the prospective investment's partners and/or management's commitment to manage ESG risks adequately and implement proposed improvements.

d. Approach to quantifying or estimating the number of jobs investments will be able to create

In a regional shopping environment, we normally use a benchmark of between 4-6 jobs per 100m² built during the construction period and also 4-6 permanent jobs per 100m² of trading area when the center is trading. An additional rule of thumb is that the value of investment by the various tenants in terms of fit-out costs as well as actually trading stock, is equivalent to the total development cost of the project.

e. Contribution to portfolio companies' management of ESG- related risks and opportunities

The property fund manager will contribute to property investments' management of ESG-related risks and opportunities through guidance from the ESG Policy and Procedures Manual. The team members will operate within the guidelines of this Manual.

The property investment manager's investment strategy prioritizes new property development and the repositioning through physical improvements, aggressive leasing programmes, and improved asset and building management.

When developing new properties, the property fund manager will always introduce more efficient building infrastructure, such as replacing high energy lighting with LEDs; improving the solar reflective and insulation properties of windows; and overhauling or replacing old air conditioning systems to reduce energy consumption and operating costs. Similarly, when repositioning existing properties, the property fund manager prioritises refurbishment over demolition and re-development, as this is inherently more energy efficient and less wasteful. Detailed examples of this in the team's track record are available upon request.

f. Reporting with agreed ESG-related policies and practices

The property fund manager will be responsible in administering and enforcing the ESG policies and procedures across the Fund and its underlying investments.

The team will ensure that ESG matters are properly considered and dealt with in accordance with our ESG Policy and Procedures Manual and shall keep records and report key performance indicators to the INVESTORS.

The fund manager will also provide ESG updates to the INVESTORS in quarterly

reports, and no less than annually provide INVESTORS with detailed ESG reporting on the Fund and all underlying property investments.

g. Approach to managing and disclosing material ESG- related incidents at the General Partner and portfolio company level

As mentioned above, the property fund manager will ensure that ESG matters are properly considered and dealt with in accordance with our ESG Policy and Procedures Manual and shall keep records and report key performance indicators to the INVESTORS.

The fund manager will also provide ESG updates to the INVESTORS in quarterly reports, and no less than annually provide INVESTORS with detailed ESG reporting on the Fund and all underlying property investments.

8. GOVERNANCE

a. **Is / will the Fund comply with King III?**

Yes.

King code application

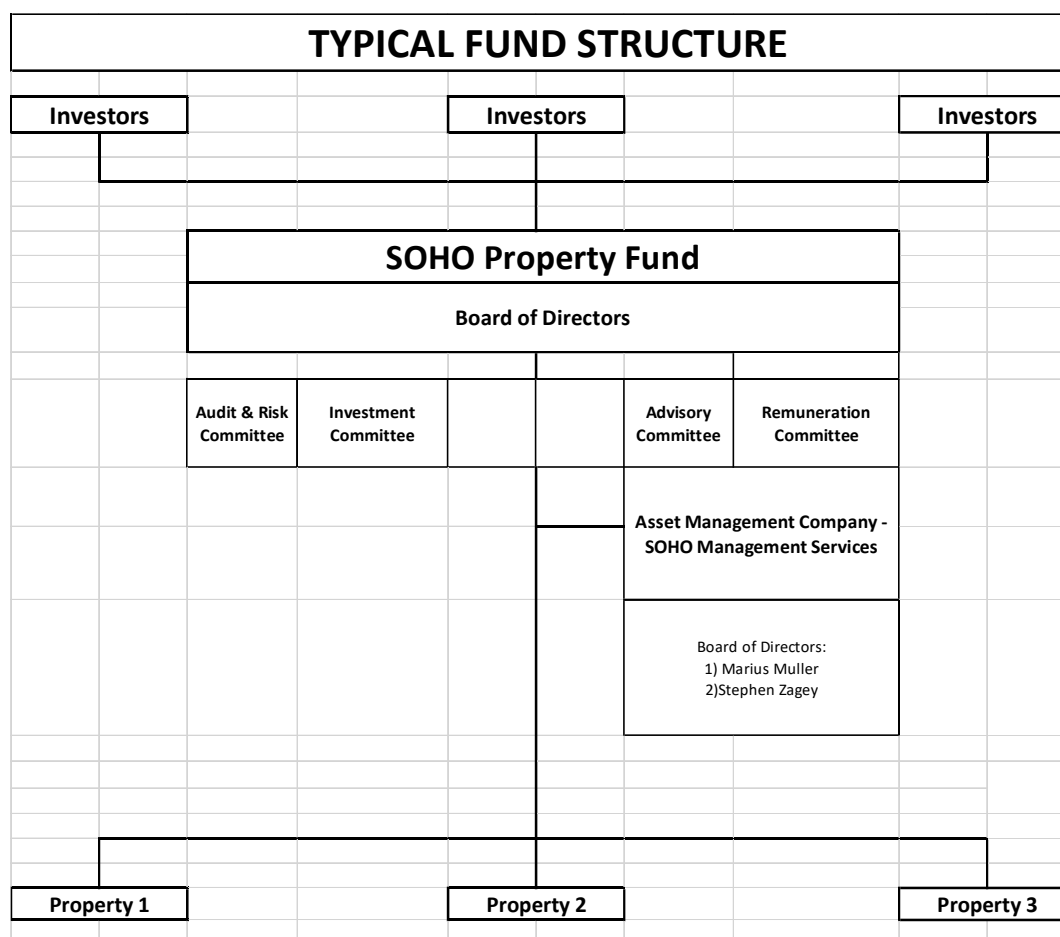
The Company's policy is to attract individuals with the necessary qualifications and industry experience. Independent directors with the requisite knowledge and understanding of the investments and investment mandate of the Company may be appointed.

The board has delegated certain responsibilities to the following committees:

- Audit and Risk Committee
- Investment Committee; and
- Remuneration Committee.
- Advisory Committee.

Please also refer to Annexure 1 on King Code Application.

Company Structure



Commitment and approach

The Board is responsible for ensuring that the Company complies with all of its statutory obligations as specified in the MOI, the Companies Act, the Listings Requirements and all other regulatory requirements. The Board at all times acts in the best interests of the Company in ensuring an effective compliance framework, the integrity of its financial reporting and risk management, together with timely and transparent disclosure to Shareholders.

The Company is committed to the principles of effective corporate governance and application of the highest ethical standards in the conduct of its business and affairs. The Directors endorse the King Code and recognize the need to conduct the affairs of the Company with integrity and in accordance with generally accepted corporate practices. The Directors recognise that they are ultimately responsible for the financial performance of the Company.

Board of Directors' practices

The Company's Board currently consists of two executive Directors. The Board composition will reflect a majority of non-executive directors. The roles of the chairman and the CEO will be clearly segregated. Pursuant to the abovementioned composition and the policies that will be set out in the Board Charter, no one Director has unfettered powers of decision making. The Board is ultimately responsible for holding the CEO and CFO accountable for the management of the business, as well as for approving SOHO's strategy and key policies. The Board is also responsible for approving SOHO's financial objectives and targets.

Appointments to the Board are to be made in a formal and transparent manner and are a matter for the Board, subject to Shareholder approval. The Board also has the power to appoint additional Directors. The Company's executive Directors are involved in the day-to-day business activities of the Company and are responsible for ensuring that the decisions of the Board are implemented in accordance with the mandates given by the Board.

The Board has a minimum of four scheduled meetings per financial year. Ad hoc meetings are held to consider special business, if required.

b. Audit Committee

The Fund will establish an Audit Committee for the Fund. In addition, the underlying investments of the Fund are physical property investments as opposed to going concerns.

The property fund manager will provide the INVESTORS with audited financial statements of the fund on an annual basis and unaudited financial statements on a quarterly basis.

Quarterly reports will provide updates on key events (e.g. capital calls, investments, exits, investment pipeline, team update and investor capital accounts) and overall Fund performance (including statement of assets and liabilities, and cashflow statements). Annual reports contain the same

information as quarterly reports as well as the property fund manager's detailed description of each investment property for the applicable period. The year end fund valuations contained in the annual report are reviewed by external auditors.

In addition, the fund manager has established a Valuation Committee whose role is to ensure that a consistent framework is applied to valuations of all property investments under management of the property fund manager which the INVESTORS can reference.

The Audit and Risk Committee, is responsible for:

- reviewing the finance function of the Company on an annual basis;
- considering and confirming the independence and objectivity of the external auditor and making recommendations to shareholders regarding the appointment or reappointment of the independent external auditor;
- overseeing the audit process and the relationship with the external auditor;
- assisting the Board in discharging its duties relating to the safeguarding of assets and the operation of adequate systems and internal control processes;
- ensuring that an effective plan for risk management is implemented; and
- overseeing the preparation of accurate financial reports and statements in compliance with all applicable legal requirements and accounting standards.

c. Governing/advisory committees that impact the management or investment activity of the Fund

Investment Committee

The Fund will establish an Investment Committee that will approve all investments and divestments. The establishment of the Investment Committee is to ensure the strongest level of the governance that serves to protect the interests of the Fund and the INVESTORS.

The property fund manager envisages that the Investment Committee will comprise of five members, three of whom shall be independent members based on pre-determined areas of expertise to provide balanced views and feedback on prospective investments or proposed by the INVESTORS. The composition of remainder of the Investment Committee will comprise of investment professionals from the property fund manager, namely Mr Marius Muller and Mr Stephen Zagey. The Investment Committee will be chaired by an independent member.

The independent Investment Committee members shall be remunerated for their duties on the Fund Investment Committee. The cost of this shall be deducted as Fund expenses.

The quorum for the Investment Committee shall be four members with at least the independent Chairperson in attendance.

The Investment Committee provides approval for all property investment and divestment decisions by unanimous consent. The Investment Committee will meet in person at the property fund manager's offices or via videoconference.

The independent Investment Committee members shall be remunerated for their duties on the Fund Investment Committee. The cost of this shall be deducted as Fund expenses.

The property fund manager will draft detailed terms of reference, for approval by the INVESTORS, which will govern the operation of the Fund's Investment Committee.

Advisory Committee

The Fund will establish an Advisory Committee that will advise the fund manager on conflicts of interest and related matter, including co-investments, fund extensions, investment policies, methods of valuation, and is required to approve certain matters that will be specified in the Fund's investment or partnership agreement. The Advisory Committee shall take no part in the control or management of the Fund, nor shall it have any authority to act for or on behalf of the Fund. All investment decisions as well as all responsibility for the management of the Fund shall rest with the property fund manager.

Each Advisory Committee member shall be a representative of the INVESTORS. We recommend that an Advisory Committee consisting of between four and six members to be established.

The quorum for the Advisory Committee shall be 50% of Advisory Committee membership plus one member.

The Advisory Committee members shall be covered for reasonable travel and lodging when attending meetings for their duties on the Fund Advisory Committee. The cost of this shall be deducted as Fund expenses.

The property fund manager will draft detailed terms of reference, for approval by the INVESTORS, which will govern the operation of the Fund's Advisory Committee.

Remuneration Committee

The Fund will establish a Remuneration Committee. The remuneration and nominations committee is responsible for the specific remuneration packages for executive Directors, including, but not limited to, basic salary, performance-based short-term and long-term incentives, pensions and other benefits (recommendations in this regard are made after considering both the interests of the Shareholders and the financial and commercial health of the Company), long-term incentive schemes and the allocation of Shares and rights in terms thereof. The remuneration committee will not have to decide on the above matters as the FUND will not have employees. The CEO and CFO

will be part of the management company and will earn salaries out of the management company from the fees earned from the FUND.

The remuneration committee is also responsible for recommending to the Board, fees for the Directors and the Chairperson, fees for members and chairmen of sub-committees of the Board, for subsequent approval by Shareholders of the Company. The remuneration committee is also responsible for evaluating the collective skills and competence of the board of directors and putting candidates forward for subsequent approval by Shareholders of the Company. The remuneration committee meets a minimum of twice per financial year. Ad-hoc meetings are held to consider special business, as required.

d. Policies on the handling and safeguarding of any material, non-public information. Communication of policies to employees

The protection of confidential business and client information is vital to the interests and success of the company. No member of staff at the property fund manager or the wider organization may disclose any information to third parties or use the information for an unethical and improper use for their own benefit. This includes:

- Advice by the fund manager to its clients
- Investment positions held by the fund manager or its clients
- Potential transactions on behalf of the fund manager or its clients
- The name, address or other personal identification information of clients
- Personal financial information of clients, such as annual income, net worth or account information
- Investment systems, models, processes and techniques used by the fund manager
- Company business records, client files, personnel information, financial information, client agreements, supplier agreements, leases, software, licenses, computer files, business plans, analyses or other agreements
- Any other non-public information or data furnished to team members by the fund manager or any client in connection with the business of the fund manager or such client.

The above information is the property of the fund manager and should be kept strictly confidential. No team member may not disclose any such information to any third party without the permission of the Compliance Officer and Mr Marius Muller, except for a purpose properly related to the business of the fund manager or a client of the fund manager (such as to a client's independent accountant or lawyer).

It is the responsibility of each team member to take all appropriate actions to safeguard all confidential information about the fund manager and its clients. Care should be taken that such information is secure at all times. For example, access to files containing material, non-public information and computer files containing such information should be restricted, and conversations containing such information, if appropriate at all, should be conducted in private.

No team member is permitted to make unauthorised copies of confidential information. Upon termination of any individual's employment with the property fund manager, she/he must return to the fund manager all confidential or client information in their possession or under their control.

If any team member violates this policy, she/he may be subject to disciplinary action, including possible discharge, whether or not they have benefited from the disclosed information. Team members may also be subject to civil liability or criminal penalties.

The above policy is contained in the fund manager's comprehensive Information Technology Policy that also covers password management, acceptable use, social networking and blogging and general user access, in addition to information security. The main goal of the Information Management Policy is to ensure that the fund manager and its client's data is protected by defining policies, procedures, guidelines and practices for managing information security within the fund manager's environment. A copy of the Information Management Policy is available upon request.

All individuals at the fund manager, and the wider organization, are required as a condition of employment to review and sign the Information Technology Policy.

9. PORTFOLIO MANAGEMENT

a. Generation of a top-down house view which has the buy-in of Investment professionals (Portfolio allocation decision making process).

Requires a portfolio asset allocation analysis

- This includes a macro-analysis of the economy and the property sector as a whole.
- Consideration needs to be given to international trends both where the local market correlates to identified countries and also where it does not.
- Cognizance must also be given to client requirements as they may want to have exposure to a certain sector even though it may not be the sector of choice as they may have exposure to the other sectors with a different manager.
- One would need to adjust expected returns accordingly in such a situation so as not to compromise the commitment of the team.
- One would also need to consider hedging strategies in order to minimize downside risk in such an environment.
- Where the investment professionals have the mandate to develop the house view, it is important that everyone who contributes to the investment process must have an opportunity to have input into the development of the strategy.
- Inputs must however be well researched and factually supported.

b. Internal forum for discussion on the actual portfolio status vs the top-down house view?

The internal forum exists in addition to the top-down approach. This is to ensure that the investment approach should and must constantly be under scrutiny. The reason for this is not with the intention of changing it "as we go along" but rather to check that original assumptions and expectations were actually correct, help in adjusting execution activity when circumstances change and apply contingency plans when there is a significant deviation to what had been expected.

c. Portfolio investment monitoring policy

Other than pure investment criteria, there will also be specific KPAs and KPIs which will be set in the management and performance of the portfolio. This will be at a portfolio and at an individual level. Reporting will happen internally on a weekly and sometimes even daily basis, especially in terms of key ratios and issues such as deal flow, project status, collection rates, interest rate movements, etc.

Monthly management accounts will be compiled and this will be discussed in a formalized management meeting structure which may include other Group specialists who are not involved directly with the business. This platform will also serve to ensure adherence to governance, administrative and ethics codes and practices.

Quarterly Board and Committee meetings will be a roll-up of the weekly and monthly meetings but will be subject to the scrutiny of those constituting the Non- Executive Directors.

Board representation at a portfolio company will normally be by an executive but will be complimented by someone from outside of the organization where it is felt that an independent view will assist in decision-making. Investments should not be made into portfolio companies where executives will need to rely on the expertise of non-executives because they do not have the requisite knowledge or skill set in the area of investment.

d. Methods used to create value for your portfolio companies (restructuring, strategic re-positioning, leveraging, operational improvements, etc.)

At a property level, the decision-making process is best executed by using the collective wisdom and experience of all the parties around the table. It would be incorrect to think that one person will come up with all the solutions. The approach should always be a bottom-up approach when seeking to enhance the value of the property investment.

Start with one pocket of space at a time and interrogate each and every expense line. Often the greatest value creation contribution into a successful property company is not in the direct asset but rather through assisting in re-structuring the capital structure of the company as well as assisting in reducing its funding costs. An additional benefit that can be introduced is that of bringing institutional discipline and good corporate governance into an organization.

A case study example to illustrate the property fund manager's value creation capabilities:

We had won a tender on a piece of municipal land where we were going to develop a shopping centre. The challenge we encountered was that the local community was concerned that we would not employ local labour and contractors when constructing the facility. We then came to an arrangement with the local municipality and the community representatives to employ a labour facilitator who would co-ordinate local labour issues. The Consultant was responsible for registering the local labour force and administering their availability to the various contractors. The Consultant reported directly to the Municipality and the Community as to our compliance with the undertaking that we had made to use local labour. In addition to this, we as the Developers, arranged with the various contractors to establish a temporary on-site training facility where we were able to train unskilled and unemployed community members in basic construction skills. Those who were then adjudged to have met the minimum standards, were given the opportunity to apply for work with the on-site Contractors. Whilst the value of this intervention cannot scientifically be calculated in terms of Rand value, it is obvious that had the intervention not occurred that we would have had significant resistance from the community during construction and the risk of them not supporting the shopping centre when it opened.

10. RISK MANAGEMENT

- a. **Discuss the risk factors of the Fund (e.g. political risk, economic, financial, technology, business cycle, etc.) and the steps taken to mitigate these risks.**

The key risk factors of the Fund can be identified and managed as follows:

	Key Risks:	Risk Management:
No assurance of investment return	There is no assurance that targeted returns will be achieved for the Fund or any of its investments. If the Fund does not produce significant positive investment returns, fees and expenses could reduce the amount of the investment recovered by the Investor to an amount less than the amount invested in the Fund by the Investor.	Clear risk disclosures that an investment in the Fund should only be considered by persons who can afford a loss of their entire investment.
Recovery of investment	There is no assurance that an investor will receive any distribution from the Fund.	The property fund manager has significant property investment and management experience, and track record in South Africa.
Macroeconomic factors	Both domestic and international economic factors may affect the ability of the Fund to meet its investment objectives, such as economic activity, inflation, interest rate fluctuations and changes in government policies.	Regular reviews of the domestic and global macroeconomic conditions and advice on these factors on disposal where justified. New investments are anticipated against an economic environment which the property fund manager believes to be supportive of the Fund's strategy.
Property market	Market pricing and other changes such as those caused by the "credit crunch" of 2008 may affect property values. Property investments by their	Regular investment appraisals to assess prospects and advice on disposal where justified.

	nature are subject to industry cyclicality, downturns in demand, market disruptions, and the lack of available capital for potential purchasers and are therefore often difficult or time consuming to liquidate. Local conditions (such as an oversupply of or reduced demand for space), competition amongst and financial conditions of buyers, sellers and tenants are also risks relating to the property market.	
Acquisition price	There is a risk of overpayment. No assurance can be given that assets can be acquired at favourable prices or that the market for the assets will recover, since this will depend in part upon events and factors outside the control of the property fund manager. The inability of the Fund to acquire favourably priced investments may have an adverse impact on its investment performance and rates of return.	Experienced team and Investment Committee with proven track record shall determine perceived risks, such as rental fluctuations, extended vacancies and capex and cause such considerations to be reflected in the price agreed.
Debt and financing	There is no guarantee that finance facilities can be established or refinanced on acceptable terms and conditions. This may make investments impossible or reduce the return on investments. The level of leverage could potentially expose the Fund to adverse	Sufficient funds maintained as cash, spending commitments and leverage are regularly reviewed. The investment team has a history in banking and excellent banking relationships.

	interest rate movements and increasing cost of debt. Even if leverage is available, it will increase the exposure of the Fund to adverse economic factors such as rising interest rates, unanticipated inflation, downturns in the economy or deteriorations in the condition of the Fund.	
Tenancy	There is a risk of tenants defaulting. Any departure by a significant tenant or a number of smaller tenants may have a material adverse impact on the cash flows of an investment and the Fund. In properties that are customized for particular tenants, there may be delays in the replacement of tenants or disposition of property.	Management attempts to ensure a spread of tenants with strong covenants and regular covenant review, payment of deposits or provision of guarantees by tenants. The property fund manager's close involvement with tenancy management issues.
Inflation	Inflation may affect investment returns and may increase costs of debt.	Adopt a hedging strategy if considered appropriate and necessary and/or incorporate inflation adjusted rent reviews.
Changes in laws and regulations	Changes in local environmental, health, zoning, building or planning laws and regulations might adversely affect the operations of the Fund. No assurance that relevant government authorities will not legislate, impose regulations or change applicable laws or planning and land	Keep updated of all relevant laws and regulations to determine proper compliance and anticipate risks.

	zoning regulations in a way that would adversely affect the Fund's business.	
Development	There are risks relating to poor control of design and construction programmes as well as contractor failure leading to cost overruns.	Experienced project management team. Monitor contractor performance closely with proactive procurement strategy.
People	There can be no assurance regarding the retention of key staff.	Career development and succession planning for key positions, alignment of employee interests by using incentive compensation that is based on participation in Fund profits.
Financial administration	There may be a risk of accounting irregularity.	Extensive review of accounting procedures. All critical fund administration functions carried out by dedicated administration team.
Limitation on transferability	Transfer of interests in the Fund may be subject to certain restrictions as stipulated in the legal or partnership agreement of the Fund.	Clear disclosure regarding the relevant limitations on transferability of interests in the Fund.

b. Risk management approach. Types of risks monitored and measured

Risk management starts with the values and structure of the property fund manager and is embedded in the investment processes and operations of the property fund manager that has a strong focus capital preservation. The biggest mitigant to risk is the team's background, experience and understanding of investment and property management. In addition, the consensus-based approach where all team members will discuss property investment opportunities result in risk factors to quickly emerge which are then either dealt with or opportunity is not progressed any further. This is different to a "star-based" approach that can often miss certain risk factors due to lack of experience, not conducting through due diligence or just relying on intuition.

The property fund manager has a deeply rooted principle of capital preservation and risk management, which begins with diversification at the Fund level. It also includes "right-sizing" investment, conducting thorough due diligence, and being involved in post-investment operations. We go into these in more detail below:

Portfolio construction and diversification

Portfolio construction is a key feature of property fund manager's investment strategy, with the mindset of risk management strongly influencing the manner in which the team considers and frames the investment thesis of each property investment opportunity. Beyond diversifying the portfolio across different investments, the team also seeks to diversify the Fund across different property sector, stage of investment and locations, as well as vintage diversification through a thoughtful and measured pace of investment. As the property fund manager selects between both control and significant minority investment opportunities, a vital element of risk management involves "right-sizing" an investment in the context of the Fund as a whole, based on the expected relative risks and returns of any given property investment opportunity.

The team believes that this will approach will exhibit defensive characteristics such as a recurring rental income and will also have a high probability of achieving strong growth, thereby creating a favorably skewed distribution of potential return outcomes. Additionally, the Fund, through its investment or partnership agreement, will have a number of well-defined investment parameters that help limit the risks of over-allocation to any single investment or property sector. The property fund manager will also, where possible, to invest the Fund's capital in a series of tranches tied to the property investment achieving specific milestones, in order to minimize initial exposure, and to then enable the Fund to increase its exposure when the opportunity is proven and progressing.

Thorough due diligence

The property fund manager will perform exhaustive due diligence on each investment prior to investing, through a thorough and repeatable investment process. The team approaches each opportunity with an emphasis on capital preservation. In addition to setting a minimum target return hurdle for its investments, the property fund manager incorporates a comprehensive and conservative set of risk tolerance criteria, which examine the probability of outcomes involving any loss of invested capital.

Post investment involvement

The value creation process is central to the investment strategy and mitigating risk within the investment portfolio, such that it infiltrates the entire investment process from identifying potential value drivers during the deal sourcing and due diligence stages, to post-investment value creation, monitoring and divestment. These elements are formally captured in a value creation plan that contributes to the investment case. In the event of an investment that does not go according to plan, due to macro or investment-specific reasons, this hands-on operationally focused approach also allows the property fund manager to utilize and implement other value creation initiatives to enhance an investment's performance.

The property fund manager also has a disciplined investment process investor, with formal procedures and processes used by all team members to ensure the integrity of decision making. These comprehensive processes will be outlined in the property fund managers Investment and Portfolio Management Manual.

The property fund manager does not have a dedicated risk manager given the team-based approach to making investments and the fact that any one of the experienced team members may lead an investment opportunity. However, Mr Marius Muller will have overall responsibility for the risk monitoring function.

c. Degree to which risk management is embedded within decision-making, portfolio management and operational processes.

Risk management is embedded across the investment process and operations of the property fund manager. The processes are documented in our Investment and Portfolio Management Manual, which is available upon request. Several steps to reduce risk are outlined below:

Deal sourcing/initial screening

When a property investment opportunity is identified, the team must determine if the opportunity meets various criteria as outlined in the Preliminary due diligence stage and the Detailed due diligence stage that are presented to the Investment Committee for approval. For example, if a property opportunity has the characteristics that meet the property fund manager's requirements and investment criteria, then it has a relatively lower risk rating.

Internal/Investment Committee approval

The Investment Committee is regularly informed of investment opportunities and they meet at strategic times in an investment's life cycle to reduce risk. For example, before the Investment Committee meeting, which is the formal decision-making meeting, the team has to diligence the partner and/or management team and management and board of a company and get key terms and valuations agreed to so that they can be scrutinised before too much time and money (due diligence costs) is spent. This also allows the Investment Committee to inform the investment team all their concerns with regard to the opportunity, so that these can then be researched in more detail. This allows for key risks to be exposed early so that they can be researched and risk mitigation strategies be implemented around them.

Due diligence

Thorough due diligence, sometimes engaging with third parties to perform due diligence on the investment opportunity and include, amongst others, accounting firms to conduct financial and tax due diligence, legal firms to conduct legal due diligence, environment and social experts to understand the environmental and social impact, sector specialists, and reputable companies to conduct background checks on the partner and/or management teams, is conducted on deals. Although the property fund manager can work quickly, the team will never shorten a due diligence and would rather not proceed with an opportunity if sufficient time to conduct a diligence does not exist.

Pricing discipline

The property fund manager follows a disciplined approach to investing and walks away from potential investments that do not represent an attractive risk/ reward trade-off.

d. Discuss your risk reporting capacity from a staffing perspective.

A core aspect of the property fund manager's team culture is open communication, transparency, debate and consensus decision-making. The property fund manager has a flat, non-hierarchical culture where all team members' opinion matters, and we strongly believe that no one has a monopoly on good ideas. As such, all team members play an active role in risk reporting from a staffing perspective, however, Mr Marius Muller will have overall responsibility for the risk monitoring function.

e. How are the following being measured, monitored, reported, controlled and mitigated: fraud, system failures, business disruptions, fiduciary breaches, human negligence and errors?

The Key Individuals in SOHO together with the Compliance Officer are responsible for Operational Risk Management. The information technology aspects of operational risk management are delegated to third party IT service provider. Meetings are held at least once a month to discuss operational risk issues. Operational risk issues are resolved as and when necessary within documented Governance Structures, Risk Management Policies and the Compliance Management Framework.

f. Processes for protecting against fraud and corruption, post-investment.

The fund manager is committed to the development and maintenance of best practices processes and procedures to prevent and detect fraud and/or corruption. The team has endeavored to put adequate controls in place to prevent and detect fraud and/or corruption. Each investment professional is required to determine that appropriate controls are in place at all levels to have effective safeguards against fraudulent activity and is required to take action to implement and maintain these controls. Our Investment and Portfolio Management Manual documents our approach to effectively reduce risk of fraud, improve internal process, and comply with prevailing laws and regulations. This involves identifying specific fraud risks and developing and implementing controls, procedures and operational changes to mitigate these risks, such as audits and controls, Code of Conduct, regular monitoring and reporting, and review of management.

g. Operational risk framework

The fund manager will look to pursue investments within its sectors of expertise, and/or with partners that have such expertise. As mentioned, sectors of interest are areas relating to the development and reposition of retail and industrial investment properties and where the team has gained experience and understanding, thus providing it with a strong resource for risk control in future Fund investments.

Across sectors in the local environment, many issues such as the lack of funding and project management experience continue to persist. However, the fund manager continues to feel that execution risk is the primary risk and also the primary opportunity.

The fund manager will primarily seek investments in property investments where the team has a strong investment track record and established networks.

The Fund may face risk of quality deal flow and competition for deals. The Fund will focus on deal sourcing via proprietary research and strong local industry, banking, legal and accounting relationships.

The structure of investments will also play a part in managing risk. The Fund will look to structure transactions to realise liquidity and early cash flow for its INVESTORS. This has historically meant utilizing shareholder loans as a method for early payment.

The fund manager will aim to utilise lower-cost forms of debt financing (gearing) where possible, but there is no assurance that this option will always be available.

The fund manager has established layers of controls and third-party oversight for its management of the Fund. These include: the oversight provided by SOHO Property Holdings (Pty) Ltd, Investment Committee of predominantly independent members, establishing an Advisory Committee, a specialist Valuation Committee, regular and open reporting for the INVESTORS, and an independent auditor that will perform an annual audit of the Fund. Additionally, the fund manager has an experienced and competent team to monitor and control the various aspects of risks to the fund manager and Fund.

The Fund will take an active role in the management of underlying property investments including:

- Board seat representation proportional to the Fund's equity investment
- Assisting the partner and/or management in asset management strategies
- Recruiting and retaining skilled management
- Ensuring that financial controls are instituted and that corporate governance is strictly adhered to
- Providing targets and milestones for the partner and/or management
- Assisting in the arrangement of required liquidity for value-add initiative
- Monitoring the investment property's performance and taking remedial action when needed.

The Fund's exit risks are dependent on economic conditions in the local and global environments. Additionally, the team's successful exit history has been based on exits across various investment environments.

h. Fund exposure and concentration limits

The Fund's exposure and concentration limits with regards to sector and asset class is as follows:

- Not more than 25% of the Fund's commitments exposed to any single counterparty
- Not more than 20% of the Fund's commitments in a single investment

i. Risk estimation techniques being used: scenario analysis & stress testing methods

The property fund manager is looking to implement a portfolio management platform developed by Framework Private Equity Investment Data Management Ltd to enhance real time portfolio management capabilities. This software will assist the property fund manager with accounting, reporting, portfolio analytics and attribution, scenario forecasting, stress testing and performance measurement.

11. Any manageable conflicts of interest, actual or potential

There are no conflicts within the Fund or the property fund manager currently or any historic conflicts of interest. There are no types of business that overlap with each other or compete with each other for available resources. The property fund manager intends to manage conflicts of interest in a manner that will be set out in the investment or partnership agreement and the property fund manager's conflict of interest policy, including seeking consent from the INVESTORS to any conflicts of interest that may arise.

12. Please describe how you would deal with any potential conflict of interest which may arise in the future.

The property fund manager and the wider organisation has a Conflict of Interest Policy that all individuals are required as a condition of employment to sign the SOHO Code of Conduct which outlines the standard of conduct and includes rules governing all confidential information and conflicts of interest. No person shall commence employment until she/he has read, understood and signed a copy of the policy. This policy also covers third parties who provide services to or have access to the fund manager's electronic communication systems.

This Conflict of Interest Policy forms an integral part of the Code of Conduct and addresses the conduct of investment and other personnel of the fund manager. It also deals with a number of related matters, including the requirements imposed on the Fund by the Financial Services Conduct Authority (FSCA).

While the rules promulgated by the FSCA are important to be adhered to by all of the individuals working for the Fund, they are non-exhaustive, and certain other additional rules may apply to individuals who are members of professional associations or by virtue of their job role. Failure to follow any of the rules (whether by express breach or failure to any of the spirit of identifying, mitigating and managing conflicts of interest) may also be a breach of employment contract or other engagement, including incentives and ownership of the fund manager. Disciplinary action may also be taken by the fund manager and/or the FSCA.

The objective of the Conflict of Interest Policy is to protect the property fund manager and INVESTORS against in advertent breaches of these requirements and, in the event of a breach, to demonstrate that all reasonable precautions had been taken. The policy also protects all individuals by minimizing as much as possible the risk of inadvertent breaches and from the appearance of profiting from knowledge or presumed knowledge gained at the fund manager.

13. FUND: GENERAL INFORMATION

a. Will the Fund offer co-investments?

Yes.

b. Outside of the General Partner, will non-limited partners affiliated with the Firm be prohibited from investing or holding an ownership interest in the Fund's investments?

No.

FUND ADMINISTRATION

c. Is the Fund Managers Fund administration performed internally or outsourced?

Fund administration is carried out internally.

d. Describe the activities of the Fund Managers support functions (Finance and Fund Administration, Human Resources, Compliance/Legal, etc.).

The fund manager's centralized administration and finance support functions will perform the following services for the Fund:

- Fund set up
- Fund accounting services (quarterly reporting and liaising with auditor as part of year end audit process)
- Capital calls and distributions
- Investor reporting
- Corporate and secretarial services for the fund entities
- Cash management, draw downs and distributions
- Anti-money laundering checks on INVESTORS pursuant to applicable to anti- money laundering laws
- Other fund administration services as necessary.

The fund manager 's Compliance Officer will be responsible for all compliance related activities of the Fund and the fund manager.

e. Detail the processes and procedures for capital movements (capital calls, transfers of cash, investment acquisitions and distributions).

The following payment processes are provided by our fund administrator:

Investments

Investments made by the fund follow the property fund manager's investment process. Once due diligence has been performed, appropriately signed off and

approved by the Investment Committee, an initial payment may then be required.

The process for this investment payment is as follows:

- A corporate action is prepared by at least two members of the property investment team.
- Legal document such as a sale and purchase agreement as well as the fund manager's internal documents (investment recommendation, Investment Committee minutes approving the investment) is required to be sent to the fund administrator with the corporate action.
- The fund administrator will perform all procedures on the investment acquisition checklist (documentation, obtaining knowledge of investment, final sign off etc.), including ensuring all documentation is received and investment background is documented.
- The fund administrator then performs the telephone call procedure to confirm bank payment details
- A further correspondence between the Mr Marius Muller and Mr Stephen Zagey and the fund administrator is performed to confirm the details of the transaction.
- Payment is released with at signatures from Mr Marius Muller and Mr Stephen Zagey.

Management fee

Management fees are paid to the property fund manager on a quarterly basis, in advance. Key process steps and controls are as follows:

- A schedule of management fees is prepared by the fund administrator (at inception or periodically) and signed off by the property fund manager and the INVESTORS to ensure compliance with the fund's legal agreement or trust deed.
- Where changes are required, these changes are also prepared by the fund administrator and signed off by the property fund manager and the INVESTORS.
- Each quarter, the fund administrator confirms the management fees and transaction costs, files confirmations and then set up payments.
- Two signatories are required for the electronic release of the payment, with at least one signatory from the property fund manager and one from the fund administrator.

Distribution to INVESTORS

The fund will return surplus cash to the INVESTORS, by way of distribution on a half yearly basis. Once the distribution has been calculated and signed off internally, the following process occurs:

- A corporate action is prepared by at least two members of the property investment team.
- The distribution and individual investor statement calculation is attached to the corporate action and reviewed by the fund administrator.
- Distribution statements and bank wire confirmation details are drafted by the fund administrator and reviewed by the property fund manager.
- Once approved, the distribution statements are signed by the fund

administrator and circulated to the INVESTORS.

- The fund administrator will follow up the confirmations accordingly before effecting payment in accordance with standard procedure and authorities.
- Changes in bank account details will be reviewed by the fund manager in accordance with control procedures including confirmation with the appropriate authorised signatory, as well as electronic or written confirmation with the recipient
- After the distribution has been paid, the fund administrator will monitor bank account transactions to ensure they agree with the record.

Overheads

Overheads consist of payments to external parties and outsourced service providers, and follow the process below:

- An authorised sheet with supporting invoices attached is prepared by at least two members of the property fund manager.
- The authorization sheet is then emailed to the fund administrator for independent review.
- The payment is then released in accordance with standard procedures and authorities. Further confirmations maybe required for payments above R250,000.
- The fund administrator then returns the authorization sheet to the property fund manager with additional details such as the amounts paid and the date of payment. This sheet is then used as a cross check for the fund's cashbook and quarterly reporting.

The following receipt processes are provided by our fund administrator:

Drawdowns

A drawdown from INVESTORS is usually required to settle an investment or to meet the follow-on call from an existing investment. The high-level process is as follows:

- A corporate action with the necessary supporting documentation is prepared by at least two signatories from the property fund manager.
- The fund administrator will draft the call notices which include the fund's banking details and sent to the property fund manager for review.
- Once approved, the fund administrator will circulate the call notices via email to the INVESTORS.
- The fund administrator will also confirm with the INVESTORS that the drawdown notice has been received in order to ensure that funds are received on time.

Distributions received

Distributions are received by the fund from the underlying investments either by way of normal rental income or disposal of properties. The high-level process is as follows:

- The property fund manager of the underlying investment will circulate the distribution notice to the fund administrator.
- The fund administrator will then complete the investment disposal/distribution checklist to ensure compliance.

- The fund administrator will then confirm the wiring instructions.
- When received, the distribution is then cross checked to the bank account by the fund administrator as part of the cashbook control and quarterly reporting.

14. COMPLIANCE

a. Compliance policies

The fund manager has established anti-money laundering procedures that is overseen by the Compliance Officer and the administrative function. The Fund and the fund manager are required by law to identify and verify the identity of all persons (and beneficial owners) that the Fund or fund manager enters into business with and keep on record the due diligence documents.

b. Review or assessment of conflicts of interest performed

The fund manager has a Conflict of Interest Policy that covers are individuals responsible for the management of the Fund, and the wider organisation.

All individuals within the fund manager are required as a condition of employment to sign the Code of Conduct which outlines the standard of conduct and includes rules governing all confidential information and conflicts of interest. No person shall commence employment until she/he has read, understood and signed a copy of the policy. This policy also covers third parties who provide services to or have access to the fund manager's electronic communication systems.

This Conflict of Interest Policy forms an integral part of the Code of Conduct and addresses the conduct of investment professionals (and any other parties) of the fund manager. It also deals with a number of related matters, including the requirements imposed on the Fund by the Financial Services Conduct Authority (FSCA).

While the rules promulgated by the FSCA are important to be adhered to by all of the individuals working for the Fund, they are non-exhaustive, and certain other additional rules may apply to individuals who are members of professional associations or by virtue of their job role. Failure to follow any of the rules (whether by express breach or failure to any of the spirit of identifying, mitigating and managing conflicts of interest) may also be a breach of employment contract or other engagement, including incentives and ownership of the fund manager. Disciplinary action may also be taken by the fund manager and/or the FSCA.

The objective of the Conflict of Interest Policy is to protect the fund manager, and the INVESTORS, against inadvertent breaches of these requirements and, in the event of a breach, to demonstrate that all reasonable precautions had been taken.

c. Regulatory bodies that have oversight of the Fund Manager, including any Investment Advisor or broker-dealer registrations. Policies for remaining compliant with these bodies.

The fund manager has the necessary framework, governance structure and policies in place to meet the requirements of the FSCA. These policies include:

- Business Continuity and Disaster Recovery Policy
- Code of Conduct
- Complaints Policy
- Compliance Management Framework
- Conflict of Interest Policy
- Financial Recovery Plan
- Governance Structure
- Personal Account Trading Policy
- Remuneration Policy
- Resolution Plan
- Risk Management Framework.

The property fund manager will submit audited financials and other requirements to the FSCA to remain compliant.

15. TECHNOLOGY

a. List and describe any software that the Fund Manager uses for business functions like portfolio management, administration and risk?

The property fund manager is looking to implement a portfolio management platform developed by Framework Private Equity Investment Data Management Ltd to enhance real time portfolio management capabilities. This software will assist the property fund manager with accounting, reporting, portfolio analytics and attribution, scenario forecasting, stress testing and performance measurement.

The team will also developed a proprietary ESG management systems to capture and collate ESG factor data on property investment opportunities, which also assists in highlighting ESG risks and opportunities.

In respect of client reporting, the fund manager is looking to utilise a bespoke private equity investor portal and customer relationship management ("CRM") provided by Intralinks. However, the property fund manager is comfortable in providing this information in a manner that is convenient to the INVESTORS.

The team will also have access to the Microsoft Office suite of products, which are universally used for property investment analysis and drafting memorandum and legal agreements.

Through the broader SOHO platform, the team has access to market information tools such as Bloomberg to ensure that they have a handle on market information and statistics.

All of the above will supplement the property fund manager's investment and ongoing portfolio monitoring process as a means by which the team manages risk.

b. Front-office systems do you utilise (e.g. portfolio simulation and construction tools, EFront)

As mentioned above, we will implement a portfolio management platform developed by Framework Private Equity Investment Data Management Ltd to enhance real time portfolio management capabilities. This software will assist the property fund manager with accounting, reporting, portfolio analytics and attribution, scenario forecasting, stress testing and performance measurement.

c. Risk management systems

As mentioned above, a portfolio management platform developed by Framework Private Equity Investment Data Management Ltd to enhance real time portfolio management capabilities will be implemented.

However, the team, with over 50 years relevant investment and property management, is cognizant of the limitations in using a "risk management" system when managing unlisted, property investments.

d. Middle and back-office systems

- i. Security master file**
- ii. Compliance application,**
- iii. Reporting and performance measurement systems**
- iv. Book keeping & Reconciliation tools**
- v. Accounting system**

The property fund manager is looking to implement a portfolio management platform developed by Framework Private Equity Investment Data Management Ltd to enhance real time portfolio management capabilities. This software will assist the property fund manager with accounting, reporting, portfolio analytics and attribution, scenario forecasting, stress testing and performance measurement.

The system allows for collaboration between different data sets and also acts as a secure repository for documents.

e. Fund Managers IT security (data back-up, disaster recovery procedures)

The fund manager's comprehensive Information Technology Policy will cover password management, acceptable use, social networking and blogging and general user access, in addition to information security. The main goal of the Information Management Policy is to ensure that the fund manager and its client's data is protected by defining policies, procedures, guidelines and practices for managing information security within the fund manager's environment.

In terms of data back-up, all staff members work on laptops that we dock into the network when we are in the office. This will sync and backup the laptops onto our server, housed on our premises. Thereafter, on a daily basis, our server gets backed up via fibre line by our IT service on to their servers at their offices. This information is also backed up on a weekly basis then stored off-site and can be accessed by the staff of SOHO and the IT Service Provider.

In the event of a breakdown in IT system, the IT provider will be contacted by SOHO personnel to inform them of the situation. The IT service provider will then be required to implement procedures to recover the backup information that has been stored onsite and/or offsite. In the event of a disaster, we expect to become fully functional in one to 24 hours.

16. ACCOUNTING, VALUATION AND REPORTING

a. Overview of the valuation process and policy. Include timelines and approval processes.

The objective of the valuation policy is to ensure that a consistent framework is applied to valuations of all assets under management of the property fund manager from which the INVESTORS can reference and have confidence in the process.

Valuations are undertaken on a regular basis in order to determine the market value of investment properties. Valuations may also be undertaken for special purposes, such as bank valuation, acquisition or a disposal.

Mr Marius Muller of the property fund manager is responsible for all investment professionals and will nominate one or more investment professionals as Valuation Executive(s). The Valuation Executive will manage the valuation process for each property. The Valuation Executive is accountable for the valuation process and will ensure that appropriate delegations are in place, when they are unavailable. This includes undertaking internal valuations, the instruction of external valuers (and rotation of valuers) and the timely receipt of both draft and final valuations. Mr Marius Muller assumes ultimate responsibility for authorizing or approving valuations.

Investment properties are typically investments that are held over the long term primarily for the purpose of deriving income and capital gains. These investments are valued at regular intervals, at least annually by external valuers.

b. Reports and communication provided to INVESTORS.

The property fund manager will provide the INVESTORS with audited financial statements of the fund on an annual basis and unaudited financial statements on a quarterly basis.

Quarterly reports will provide updates on key events (e.g. capital calls, investments, exits, investment pipeline, team update and investor capital accounts) and overall Fund performance (including statement of assets and liabilities, and cashflow statements). Annual reports contain the same information as quarterly reports as well as the property fund manager's detailed description of each investment property for the applicable period. The year end fund valuations contained in the annual report are reviewed by external auditors. In addition, on an annual basis, the property fund manager will produce an ESG report highlighting environmental, social and governance (ESG) risks and opportunities for the Fund, including the developmental impact of the Fund's investments.

The timing on delivery of the quarterly and annual reports will be governed by the investment or partnership agreement. The quarterly reports are published within

45 days from the end of each quarter. However, the annual report is published within 120 days from the end of the year.

The property fund manager will prepare monthly internal reports on each property in Fund and the Public Investment Corporation is welcome to receive this if they wish.

The above is in addition to the sample capital call notice, sample distribution notice, and sample quarterly report.

c. The ILPA Reporting Best Practices and Standardized Capital Call and Distribution Templates.

The property fund manager's reporting package, capital call and distribution templates are consistent with the Institutional Limited Partner Association's (ILPA) Best Practice recommendations and provides a level of transparency and reporting that allows INVESTORS to monitor the performance of the property fund manager

ANNEXURE 1 - GOVERNANCE

The Company and its Board are committed to ensuring reasonable steps are taken to comply with the King Code as far as possible.

The Company supports the governance outcomes, principles and practices as stipulated in King IV and in compliance with the CTSE Listing Requirements. This document sets out the application of the corporate governance principles as recommended by the King IV Report on Corporate Governance as at the Listing Date. Continuous focus on enhancing current practices is in line with our objective to continuously improve and entrench corporate governance practices across the Group.

King IV Principle	Application of Principle
Principle 1: The governing body should lead ethically and effectively.	The Board will comply with this principle. The oversight role of the Board rests on an ethical foundation. An annual assessment of the performance of its committees, non-executive directors and executives, will include a focus on ethical outcomes. The Board is accountable for ethical and effective leadership through adherence to its Board Charter. The Board and its Committees demonstrate ethical and effective leadership through a robust governance framework strongly embedded in the Group's strategy and performance.
Principle 2: The governing body should govern the ethics of the organisation in a way that supports the establishment of an ethical culture.	The Board will comply with this principle. The Board subscribes to the ethical standards detailed in line with Section 72 of the Companies Act.
Principle 3: The governing body should ensure that the organisation is and is seen to be a responsible corporate citizen	The Board will adopt this principle to the extent to which it applies. The Board has delegated accountability for monitoring overall corporate citizenship performance to the Audit and Risk Committee, Responsible corporate citizenship is strongly embedded in the Group's strategy, underpinned by the Company's strategic thrust of driving sustainable business.
Principle 4: The governing body should appreciate that the organisation's core purpose, its risks and opportunities, strategy, business model, performance and sustainable development are all inseparable elements of the value creation process.	The Board will comply with this principle. The company is committed to fulfilling its mission of becoming a leading, responsible, and diversified property investment holding company, while ensuring that our stakeholders benefit from our growth. The Board is responsible to shareholders for creating and delivering sustainable shareholder value by managing the Group and ensuring that the strategic objectives of the Group deliver long-term value.

Principle 5: The governing body should ensure that reports issued by the organisation enable stakeholders to make informed assessments of the organisation's performance, and its short-, medium- and long-term prospects.	The Board will comply with this principle. Annual financial statements and all relevant information provide or will provide stakeholders with a balanced and holistic view of the Group's financial, social, environmental, and economic impacts so that they can better understand the Group's short, medium and long-term prospects.
Principle 6: The governing body should serve as the focal point and custodian of corporate governance in the organisation.	The Board will comply with this principle. The Board will adhere to its Board Charter and the requirements of the Cape Town Stock Exchange, Companies Act and King IV, which enables it to execute its responsibilities in an ethical manner and based on principles of good corporate governance.
Principle 7: The governing body should comprise the appropriate balance of knowledge, skills, experience, diversity, and independence for it to discharge its governance role and responsibilities objectively and effectively	The Board will comply with this principle. The Board is comprised of highly qualified directors with an appropriate balance of knowledge, skills, experience, diversity and independence.
Principle 8: The governing body should ensure that its arrangements for delegation within its own structures promote independent judgement and assist with balance of power and the effective discharge of its duties.	The Board will comply with this principle. In discharging its duties, the Board is supported and has delegated certain functions to the following sub-committees: Audit and Risk Committee, Investment Committee, Remuneration Committee and Advisory Committee.
Principle 9: Evaluations of performance of the Board.	The Board will comply with this principle. The governing body will ensure that the evaluation of its own performance and that of its committees, its chair and its individual members, support continued improvement in its performance and effectiveness.
Principle 10: Appointment and delegation to management. The governing body should ensure that the appointment of, and delegation to, management contribute to role clarity and the effective exercise of authority and responsibilities.	The Board will comply with this principle. The Board is satisfied that the Group is appropriately resourced for these roles and that delegation of certain roles and responsibilities to management supports effective governance. The Board will approve the appointment of the CEO, CFO, Executive Directors and the Company Secretary. Through the Remuneration Committee, the Board monitors and ensures effective succession planning.

Principle 11: The governing body should govern risk in a way that supports the organisation in setting and achieving its strategic objectives.	The Board will comply with this principle. The Board is ultimately responsible for the governance of risk and has assigned oversight of the Group's risk management function to the Audit and Risk Committee.
Principle 12: The governing body should govern technology and information in a way that supports the organisation setting and achieving its strategic objectives.	The Board will comply with this principle. The overall responsibility for IT governance lies with the Board, which will be delegating the day-to-day management to the CEO in order to achieve competitive advantage through cost-effective application and management of ICT systems and resources in the Group.
Principle 13: The governing body should govern compliance with applicable laws and adopted, non-binding rules, codes, and standards in a way that supports the organisation in being ethical and a good corporate citizen.	The Board will comply with this principle. The Board ensures compliance with applicable legislation and regulations through the establishment of legal frameworks. The Group aims to keep up to date with all intended or promulgated legislation through regular interaction with its corporate attorneys who keep the Group informed of changes in the legal landscape.
Principle 14: The governing body should ensure that the organisation remunerates fairly, responsibly, and transparently to promote the achievement of strategic objectives and positive outcomes in the short-, medium- and long term.	The Board will comply with this principle. The Remuneration Committee operates under the delegated authority of the Board. The Remuneration Committee fulfils the important function of ensuring that remuneration is responsible and fair across the Group, and ensures that disclosures are accurate, complete, and transparent.
Principle 15: The governing body should ensure that assurance services and functions enable an effective control environment, and that these support the integrity of information for internal decision-making and of the organisation's external reports.	The Board will comply with this principle. Combined Assurance Framework is integrated with the Group's risk management approach. Risks facing the Group are identified, evaluated, and then managed through the implementation of various risk mitigation strategies.
Principle 16: In the execution of its governance role and responsibilities, the governing body should adopt a stakeholder inclusive approach that balances the needs, interests, and expectations of material stakeholders in the best interests of the organisation over time.	The Board will comply with this principle. All key engagements within stakeholder management will be geared towards ensuring that our stakeholders, both internal and external, benefit from our growth path.

FINANCIAL INFORMATION